

Chapter 11: Tops and Bottoms

11.1. Adam-Eve Patterns

Adam-Eve Patterns

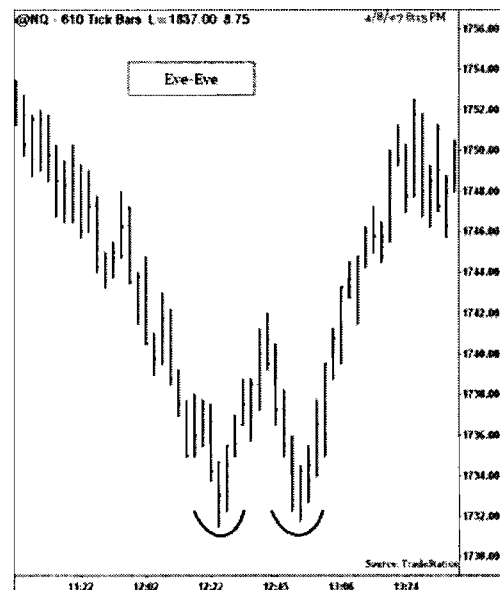
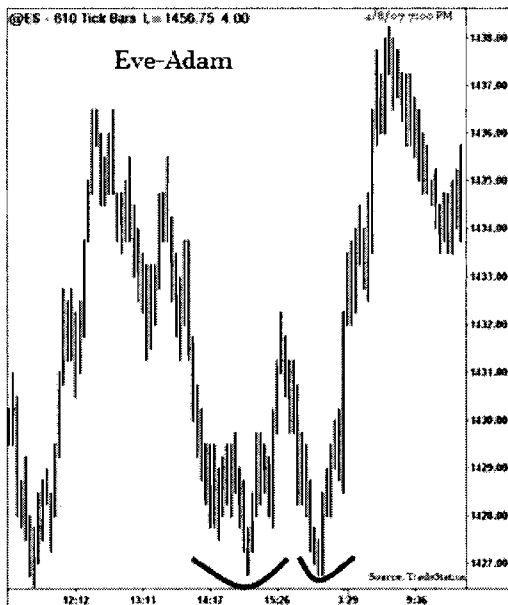
“Adam and Eve” patterns are variations of “double tops” and “double bottoms” patterns. They have little more complex trading rules than regular “double bottom” and “double top” patterns, but consist of pattern trading rules similar to *Triangles*, *Pennants* and *Wedges* trading structures. Adam-Eve patterns are very reliable as they form at the market tops and at the market bottoms. Trading these patterns is relatively easy with low-risk trading rules.

Inside the “Adam-Eve” patterns, the “Adam” part looks like a sharp spike or “V” bottom; where as, “Eve” patterns have a round bottom (or top). Although rare, sequences of “Adam-Eve-Adam” or “Eve-Adam-Eve” patterns do occur, and they may be more reliable than “Adam-Eve” or “Eve-Adam” pairs. These patterns tend to signal much bigger moves. A sequence of “Adam-Adam” or “Eve-Eve” is also very common.

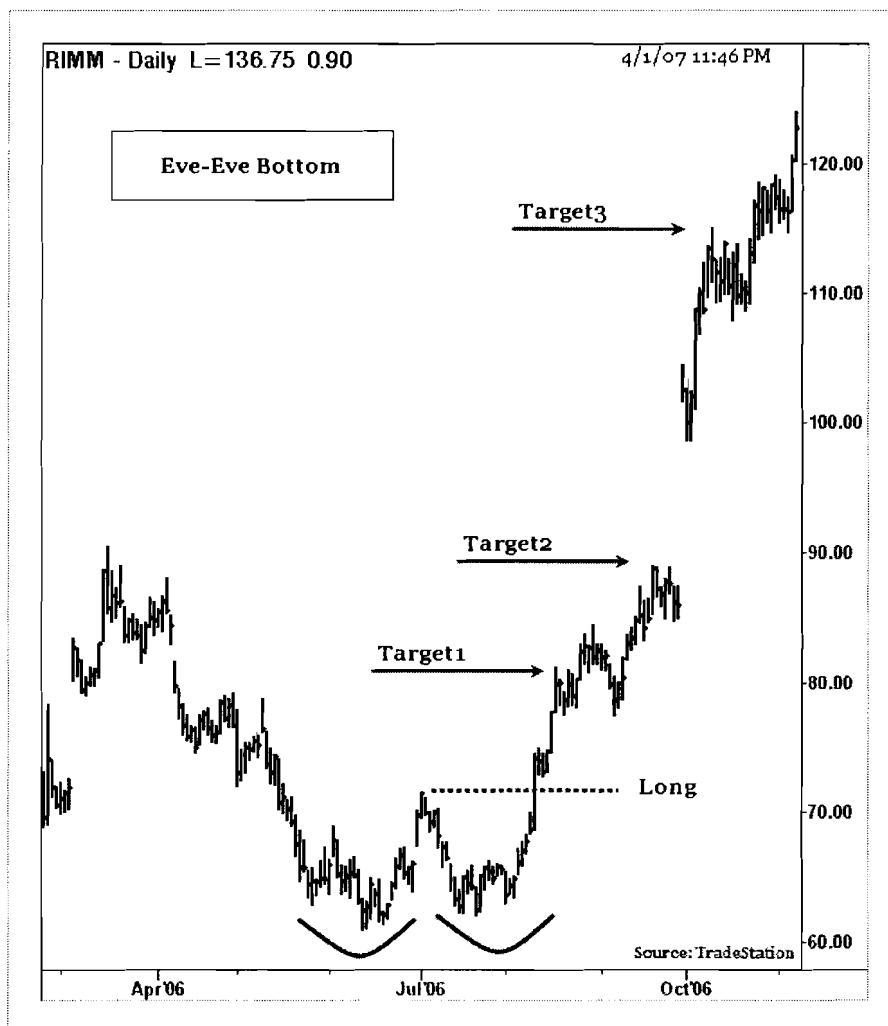
Trade: Although these patterns are visually easy to detect, a confirmation is needed for successful trading. Many times “double bottoms” and “double tops” may continue to form “multiple tops” and “multiple bottoms.” Trades are entered in the direction of the breakout/breakdown of the middle spike between “Adam and Eve” structures.

Target: “Adam and Eve” pattern formations are very profitable. The targets can be set at the previous swing high/swing low of the first swing in the “double top” or “double bottom.” Subsequent targets would be set at the next “higher swing high” or the next “lower swing low.”

Stop: “Adam and Eve” patterns also fail. Protect trades using the pattern high for “short” trades and pattern low for “long” trades.



Trading Adam-Eve Pattern

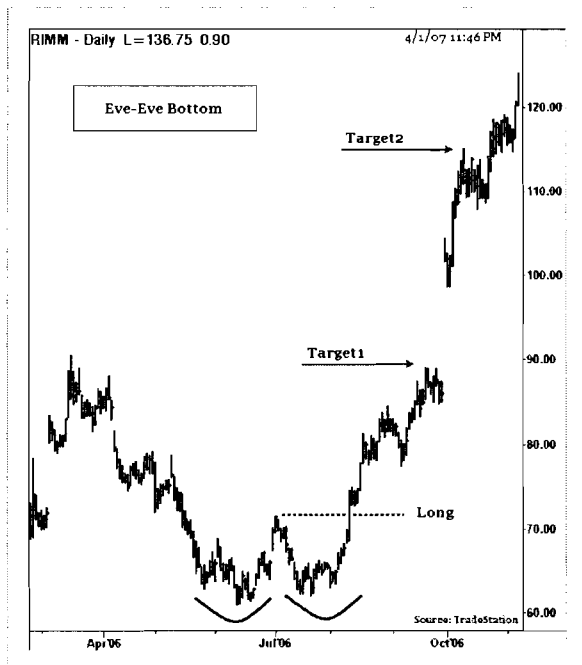
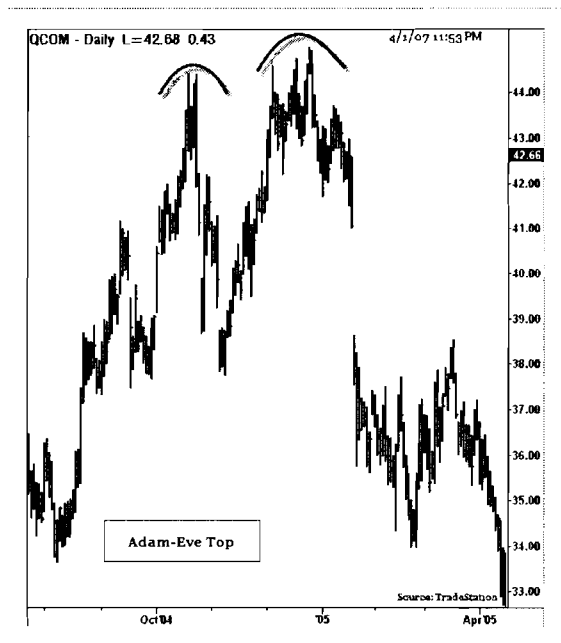


Trading Adam-Eve Pattern

The above example shows a “Double Bottom” (Eve-Eve) pattern formation from the Research in Motion (RIMM) daily stock. RIMM formed a double bottom in May 2006 to August 2006. The middle spike was at \$70. A “long” trade is triggered above the high of the breakout bar at middle spike.

1. Enter a “long” trade above \$71.
2. Place a “stop” order below the low of the “Double Bottom” at \$60.
3. Target the first “major swing high” prior to the pattern formation at \$80. Secondary targets are set at the next “major swing high” or “major swing low” prior to the pattern.

Adam-Eve Patterns



11.2. Trader Vic's 2B Pattern

Trader Vic's 2B Patterns

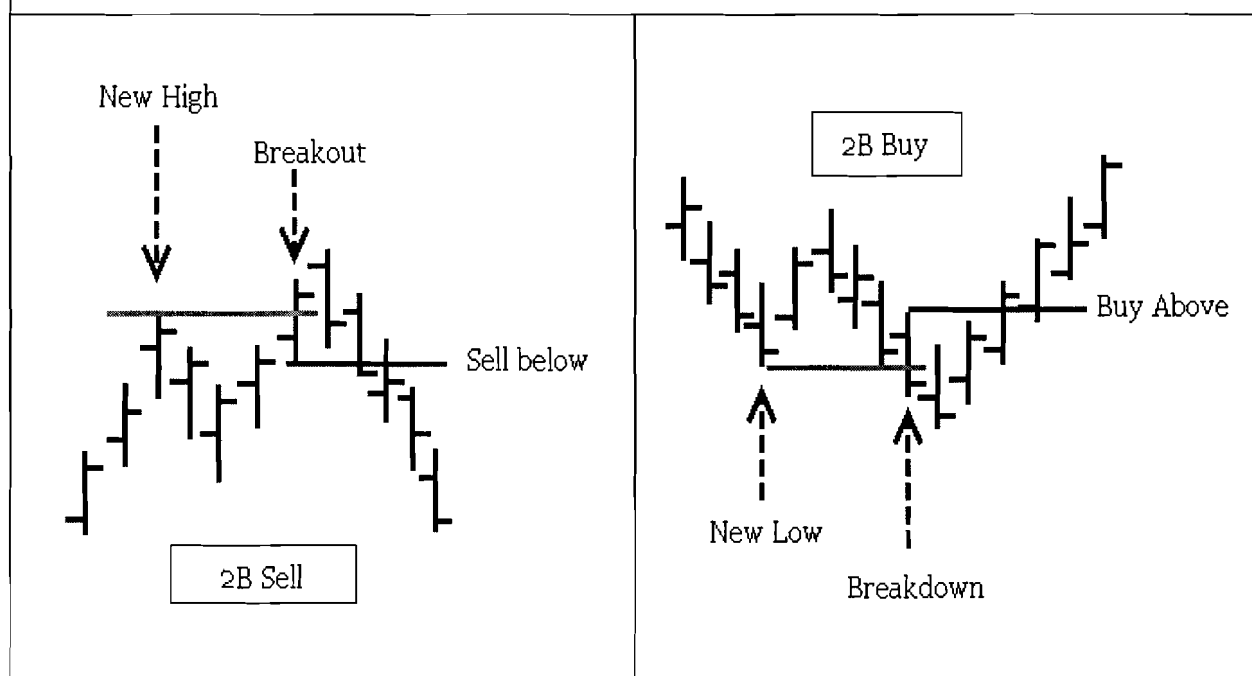
"*Principles of Professional Speculation*" written by Victor Sperandeo (Trader Vic), analyzes one of the powerful top/bottom reversal techniques. Trader Vic describes this technique, "In an uptrend, if prices penetrate the previous high, but fail to carry through and immediately drop below the previous high, the trend is apt to reverse." The converse is true for a down trend. This pattern is also called "spring." The 2B setup looks like a micro "M" pattern and signals trend reversal when prices stop making higher-highs in an uptrend.

The 2B pattern rule is when prices make a new high or new low; they pull back for a healthy retracement. After retracement, the price tries to re-test the new high or new low. When this test of new high or new low fails, and it does not maintain the prices above the new high or low, it signals a potential trend reversal. This setup is very powerful and signals the beginning of a correction.

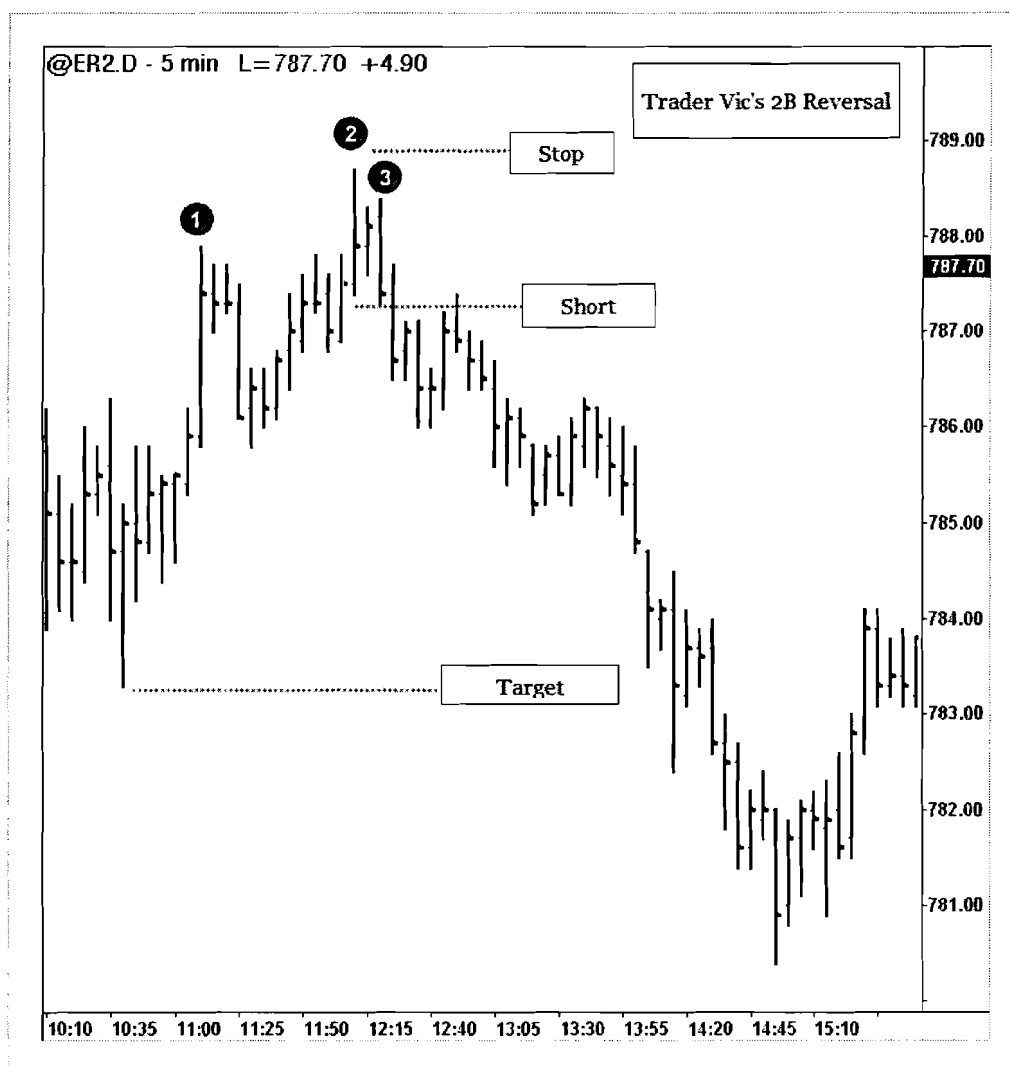
Trade: The market attempts to test a recent new high or low, but does not hold the prices above this range. Trades are entered to sell the low of the bar trying to breakout or buy the high of the bar trying to breakdown.

Target: The target is usually the "swing low" prior to the new high for 2B Buy setup or "swing high" prior to the new low for 2B Sell setup.

Stop: Protect your "long" trade entry by placing a "stop" below the recent low and protect the "short" trade entry by placing a "stop" above the recent high.



Trading 2B Bearish Pattern

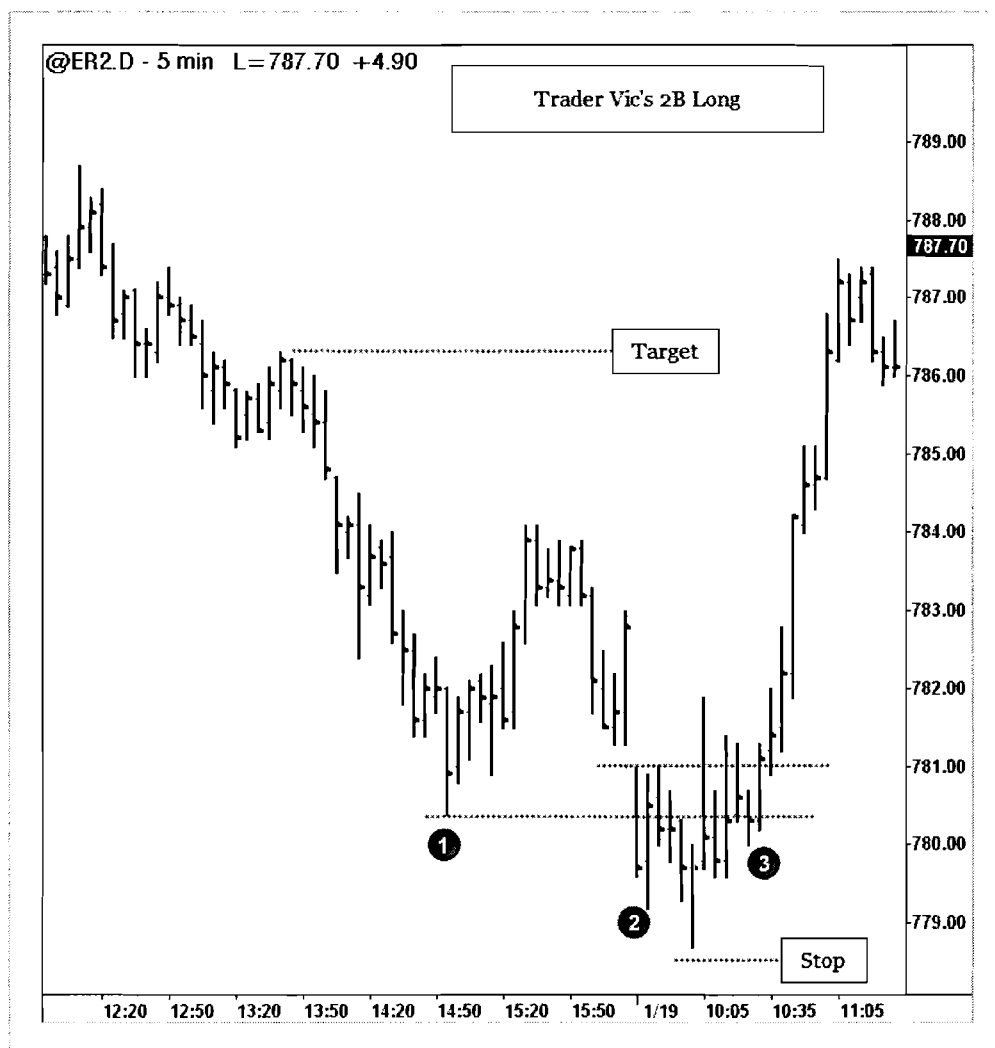


Trading 2B Bearish Pattern

The example above shows Trader Vic's 2B bearish reversal pattern from the Russell Emini (ER2) 5 minute chart. ER2 made a new high at 788. Prices retraced a few bars but traded above the bar 1's low. After pullback, ER2 rallied back to test the new-high at Bar 2. Within few bars, ER2 closed below the breakout Bar 2's low. This signaled a short trade at 787.7.

1. Enter a "short" trade below the low of the Bar 2 at 787.7.
2. Place a "stop" order above the high of the breakout Bar 2 at 789.
3. Place a target at the "swing low" prior to Bar (1) at 783.5.

Trading 2B Bullish Pattern

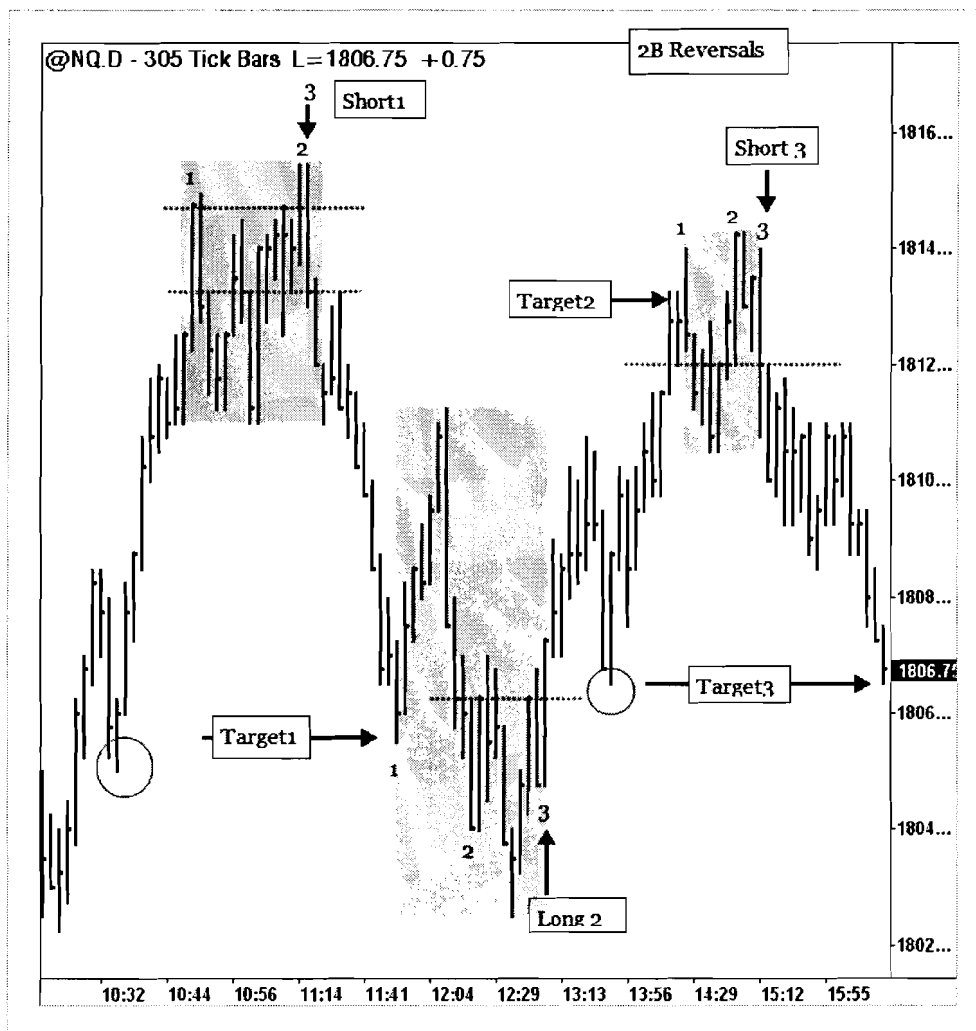


Trading 2B Bullish Pattern

The example above illustrates a 2B “bullish” reversal pattern from the ER2 5 minute chart. ER2 made a new low at 780.5 (at Bar 1). After a new low, ER2 reversed its trend and rallied back to 784 for a healthy pullback. ER2 attempted to test the new low again at 780.5 at Bar 2 to close below the low of Bar (1). As the market continued to consolidate around the breakdown levels, a long trade is anticipated. A reversal and close above Bar 2’s “high” triggered a 2B “reversal.” At Bar 3, ER2 reversed and closed above Bar 2’s “high” signaling a “long” trade.

1. Enter a “long” trade above the high of Bar 3.
2. Place a “stop” order below the recent low at 778.5.
3. Place a target at the “swing high” before Bar 1 at 786.5.

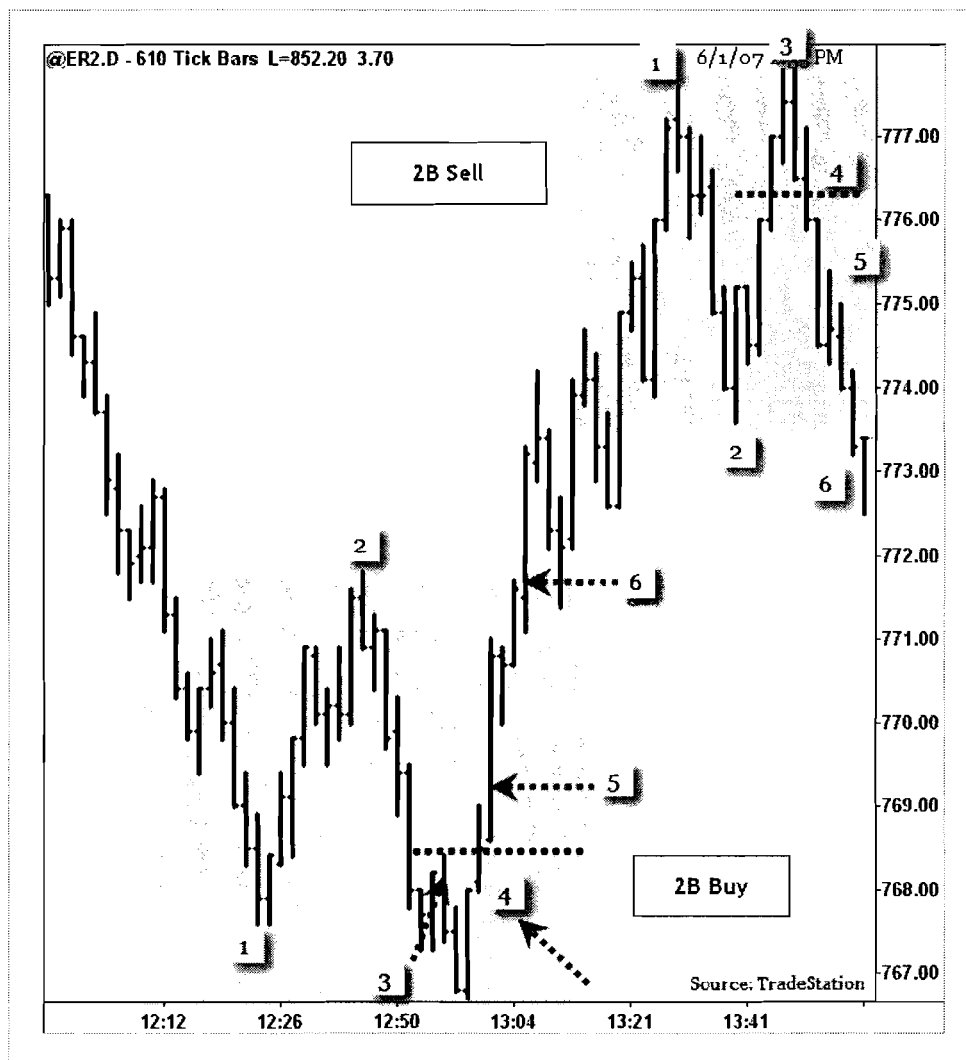
Trading 2B Patterns



Trading 2B Reversals

The example above shows a series of 2B “bullish” and 2B “bearish” reversals. The first example explains a 2B “sell” reversal setup for a “short” trade below the close of bar (3). The target is set at “swing low prior to bar (1). The “stop” order is set at bar (2)’s high. The second setup shows a 2B “bullish” reversal. A “long” trade is triggered above the high of bar (2). The target is placed at the “swing high” prior to bar (1). A “stop” order was placed below “swing low” prior to bar (3). The third setup is a 2B “short setup” similar to 2B “short setup” at Short trade 1.

Trading 2B Patterns



2B Buy Setup

1. New Low
2. Decent Retracement
3. Another bar close below Bar 1 Low
4. Mark High of Bar 3. Wait for Close above 4.
5. Long above the High of 4
6. Target previous Swing Highs

2B Sell Setup

1. New High
2. Pullback
3. Another bar Close above Bar 1 High
4. Mark Low of Bar 3. Wait for Close below 4
5. Short below the Low of 4
6. Target Previous Swing Lows

11.3. Trader Vic's 1-2-3 Patterns

Trader Vic's 1-2-3 Patterns

"Principles of Professional Speculation" written by Trader Vic, highlights another great reversal pattern called "1-2-3." This pattern is also called "Three Point Reversal" or "ABC Reversal." Trader Vic's 1-2-3 reversal pattern is based on the Dow Jones Theory-change of trend. Prices that are rising or falling must break a trend line. In an uptrend, prices will stop making higher highs (for shorts) or lower lows (for longs) in a downtrend. During the uptrend, prices try to reach the recent high, but may fail to hold and close above the high. During the downtrend, prices may try to reach the recent low and may fail to close below the low. This provides a potential signal.

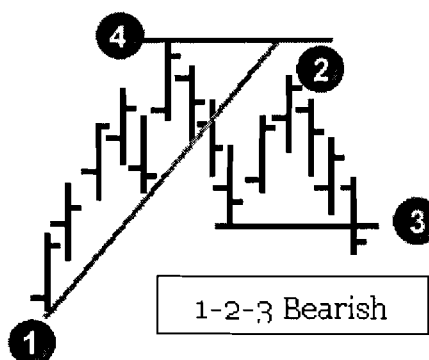
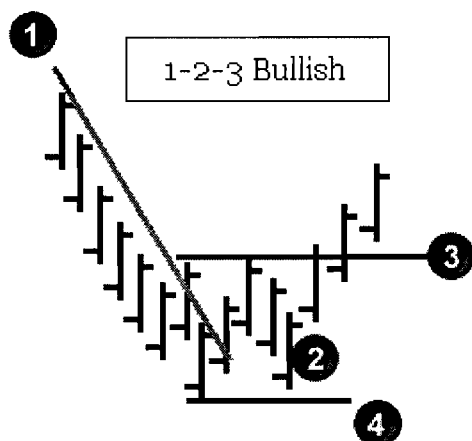
The criteria for a 1-2-3 pattern taken from Trader Vic's Book is as follows:

1. A trend line "breakout" or "breakdown" from the current trend.
2. A "test" and "failure" of the previous "high" or "low" after the trend line breakout or breakdown.
3. The breakout or breakdown of a "swing high or "swing low" prior to the rule 2.

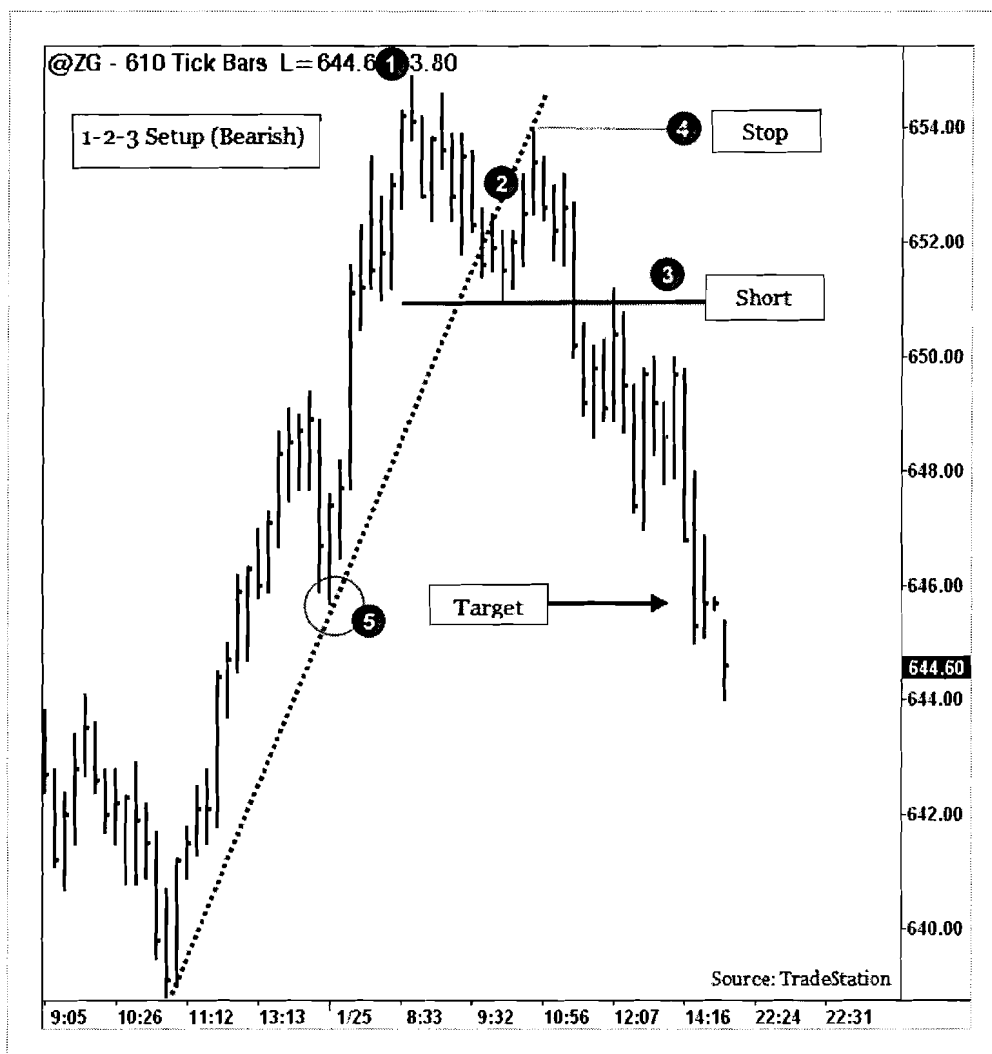
Trade: After a trend line breakout or breakdown and re-test of "swing low/swing high," a sell signal is generated in uptrend when prices close below the "swing low". In downtrends, a buy signal is generated when prices close above "swing high."

Target: The target is placed at the "swing low" prior to the "new high" in 1-2-3 "bearish setup" and "swing high" prior to the "new low" in 1-2-3 "bullish setup."

Stop: Place a "stop" order above the "swing high" in 1-2-3 "bearish setup" (Short) and below the "swing low" in a 1-2-3 "bullish setup" for long trades.



Trading Trader Vic's 1-2-3 Bearish

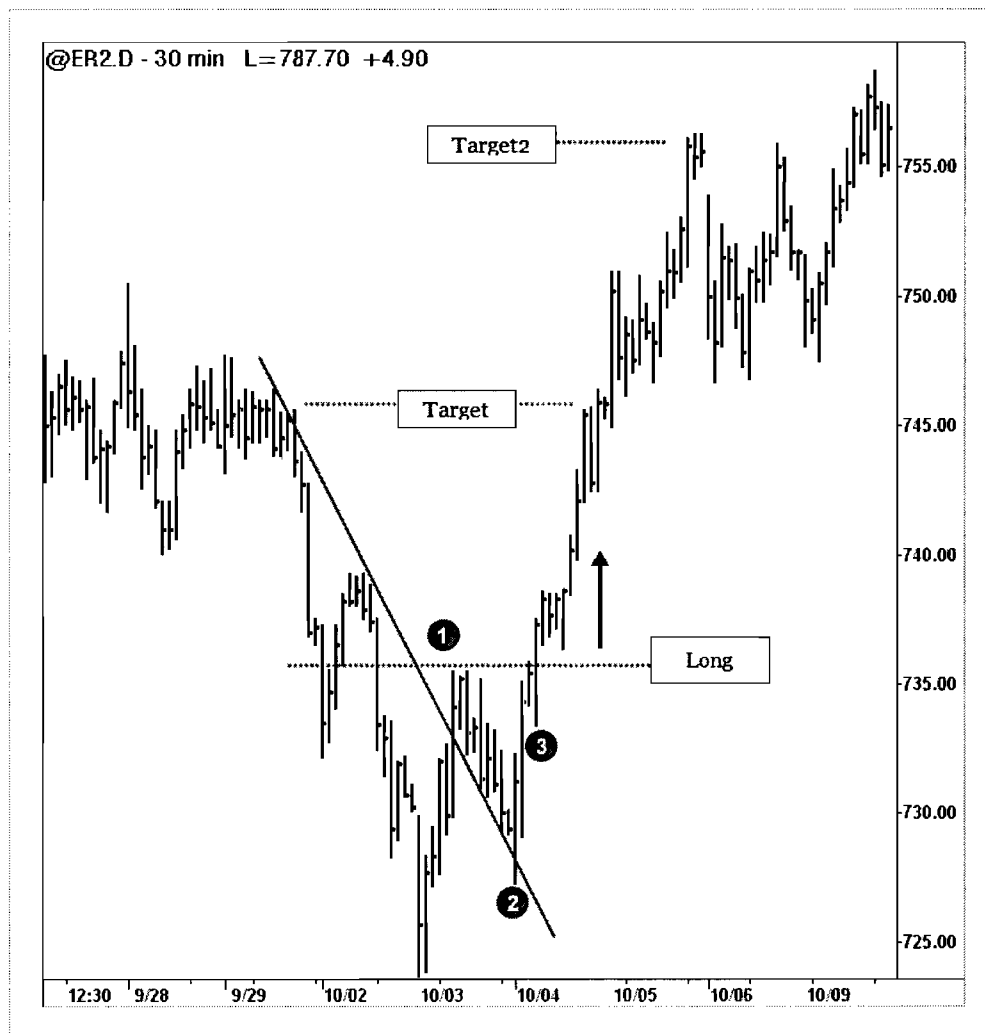


Trading Trader Vic's 1-2-3 Bearish Pattern

The example above illustrates Trader Vic's 1-2-3 "bearish setup" from the Gold futures 610 tick chart. Gold made a new high of 654 at bar (1). After a "new high," Gold retraced and traded lower to break the trend line at 651 (bar 2). Gold attempted to trade higher and re-tested trend line but could not close above it. After bar (4), prices closed below the low of bar(2) to signal a short trade.

1. Enter a "short" trade below the low of the "swing low" at 651.
2. Place a "stop" order just above the trend line at 654.
3. Place a "target" at the swing low prior to "new high" at 645.5

Trading Trader Vic's 1-2-3 Bullish



Trading Trader Vic's 1-2-3 Bullish Pattern

The above example illustrates a 1-2-3 Bullish pattern setup from the Russell Emini (ER2) 30 minute chart. ER2 made a new low at 724.5 and reversed its trend to the upside and traded above the trend line. After a few bars, ER2 tried to retest the lows at bar (2). At bar (3), ER2's prices reversed and traded above the recent "swing high" to trigger a "long" trade.

1. Enter a "long" trade above the "swing high" at 735.5
2. Place a "stop" order below the trend line low at 726.
3. A "target" was set at the previous "swing high" at 745.

11.4. Pipe Pattern

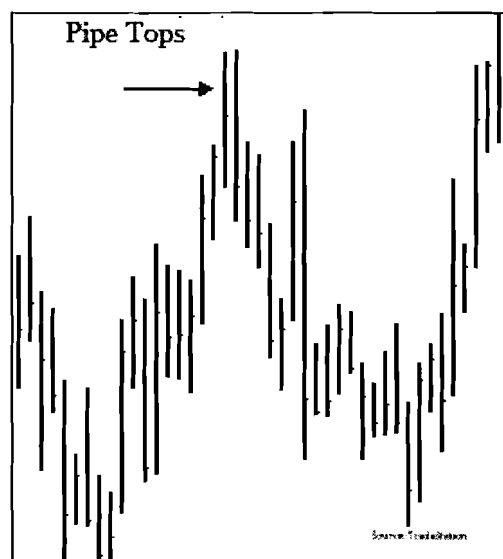
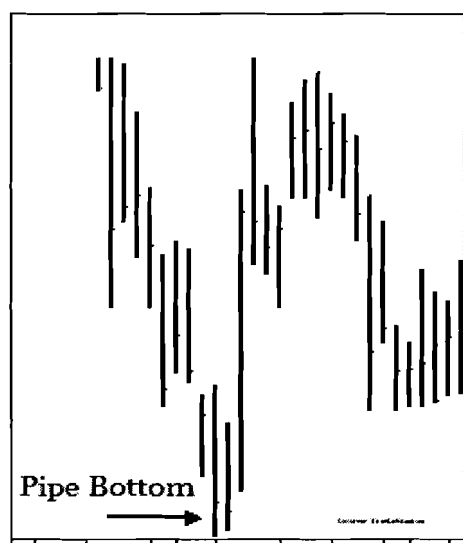
Pipe Pattern

“Pipe” patterns form at market tops or market bottoms due to price exhaustion. Usually the first “Pipe” is a spike in prices and then followed by another spike by at least a similar length in the opposite direction. As the name suggests, the “Pipe pattern” looks like two parallel lines which form at the market extremes. “Pipe” patterns must be very distinct compared to the rest of the bars and must be visually obvious in the chart. “Pipe” patterns can also form during the intra-day rallies or intra-day sell-offs, but they are more reliable in daily and weekly charts. Daily “Pipe” patterns are illustrated by two bars showing opposite sentiment spanned by a significant time. Pipe pattern trades are entered in the opposite direction of a current trend. “Pipe” patterns are rare, and are one of the best patterns to trade.

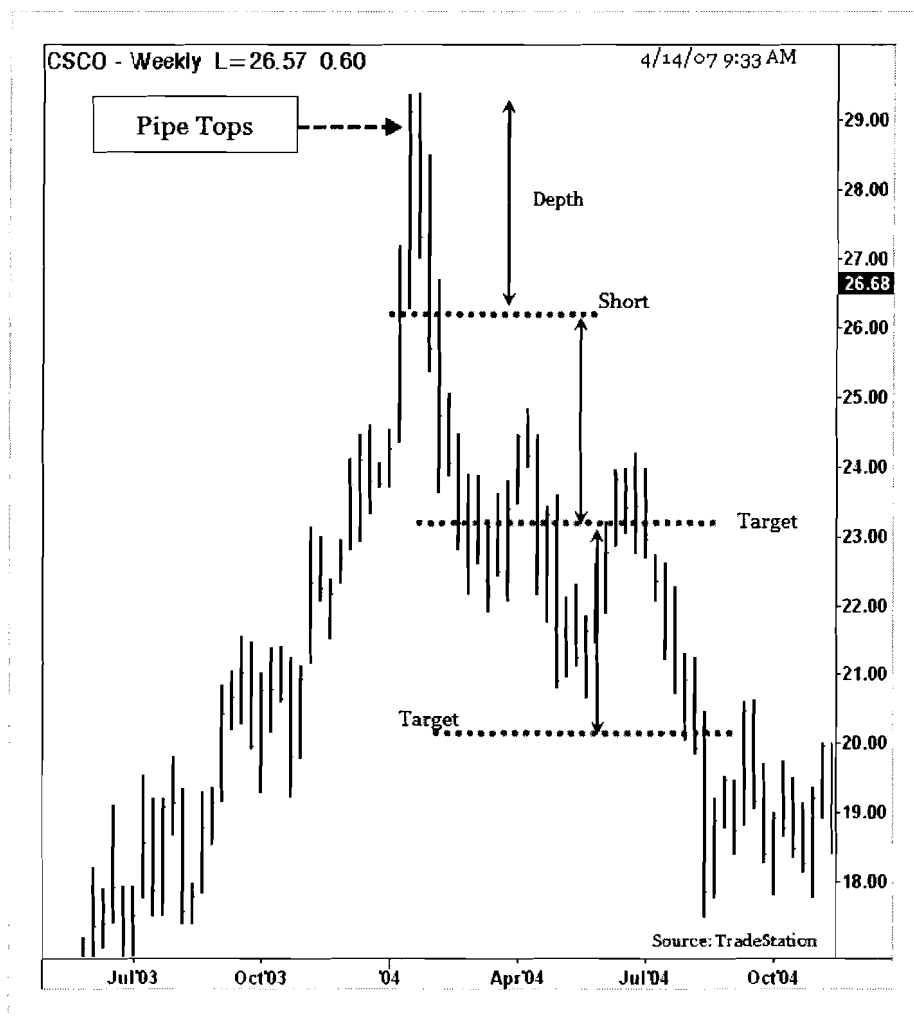
Trade: Although, the “Pipe” pattern is a very successful pattern, it must have a clear confirmation prior to trades. For a “Pipe top” pattern, prices must trade below the low of the “lowest low” of the two pipes to enter a “short” trade. For a “Pipe bottom” pattern, prices must trade above the “highest high” of the two pipes to enter a “long” trade.

Stop: For a “Pipe bottom” pattern, place a “stop” order below the “lowest low” of the pattern. For a “Pipe top” pattern, place a “stop” order above the “highest high” of the pattern.

Target: The “Pipe” pattern provides an excellent opportunity to trade for low risk and high reward. The first target for a “Pipe bottom” pattern is the length of the larger of the two Pipes. The second target is the twice the length of the largest Pipe above the trade entry. Similarly, for a “Pipe top” pattern, the first target is the length of the largest of the two Pipes, and second target is the twice the length of the largest of the two Pipes below the trade entry.



Trading Pipe Top Pattern

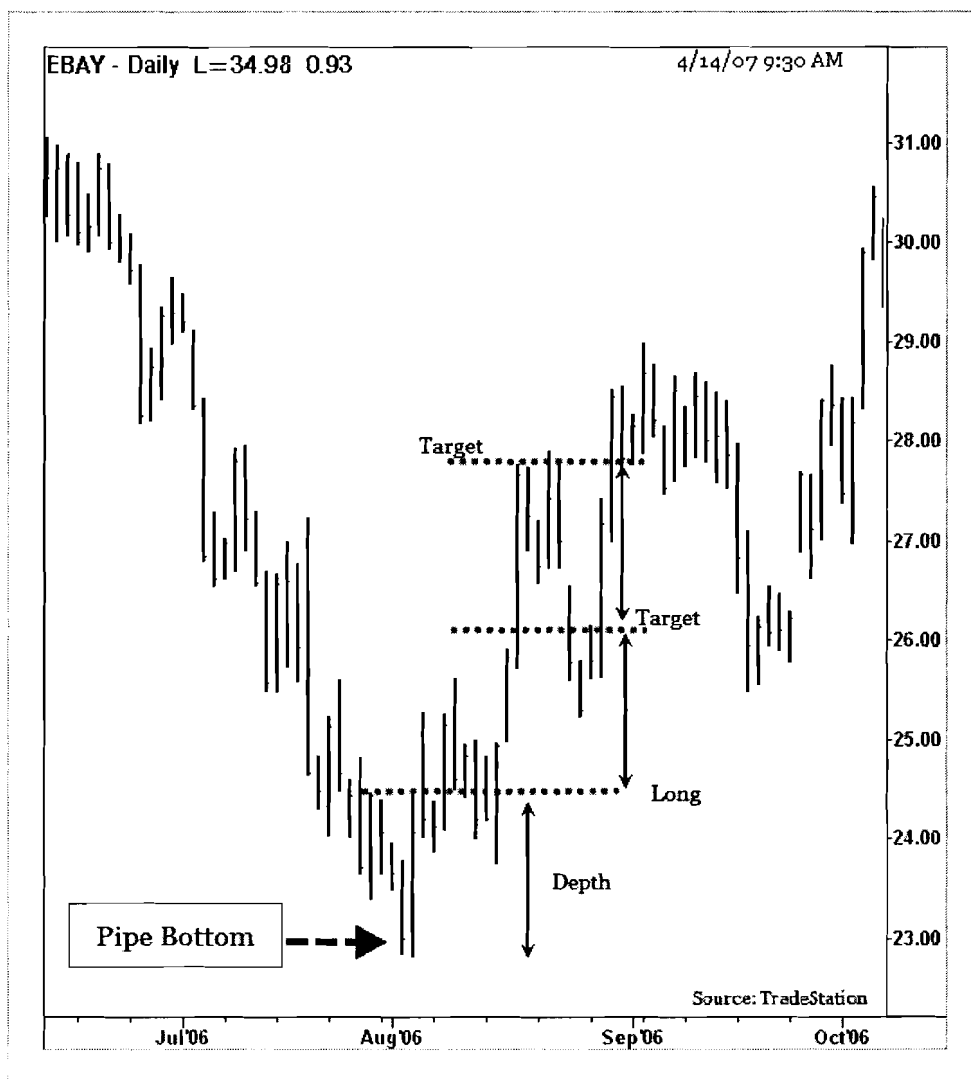


Trading Pipe Top Pattern

The example above illustrates a formation from Cisco's weekly chart. After a prolong rally in 2003, Cisco reached its exhaustion level at \$29 and posted a reversal bar to complete the "Pipe top" pattern. The lowest low of the "Pipe top" pattern is at \$26.25.

1. Enter a "short" trade below the "lower low" of the "Pipe top" pattern at \$26.
2. A "stop" order is placed above the high of the "Pipe top" at \$29.
3. The length of the larger of the two Pipes is \$3. The first target is placed at \$3 below the entry level from \$26. The second target is placed at \$6 below the entry level from \$26.

Trading Pipe Bottom Pattern



Trading Pipe Bottom Pattern

The example above illustrates a “Pipe bottom” pattern formation from the EBay daily chart. In 2006, EBay sold off from the \$32 level to the \$23 level. At the beginning of August, 2006, EBay posted a “Pipe bottom” reversal bar at \$23. The larger of the two “Pipe” bars are at \$24.5 and closed above the previous bars’ high. The length of the largest Pipe bar is \$1.5.

1. Enter a “long” trade above the high of the second bar at \$24.50.
2. Place a “stop” order below the low of the “Pipe” pattern at \$22.75.
3. Place the first target at \$1.5 above the entry of \$26. The second target is placed \$3 above the entry at \$27.50.

11.5. M and W Patterns

M and W Patterns

“M” and “W” patterns are usually considered as M-Top and W-Bottom patterns with few differences. M and W Patterns usually continue the prior trends whereas M-Top and W-Bottom patterns terminate the trends. Frequently, “M” and “W” patterns form during the congestion zones. “M” patterns rarely form at the “market bottoms” and “W” patterns rarely form at the “market tops.” The volume concept of timing is very similar to their counter parts “Double tops” and “Double bottoms.” These patterns are also closely related to “Triple tops” and “Triple bottoms,” and “Head and Shoulders” or “Inverse Head and Shoulder” patterns.

Trade:

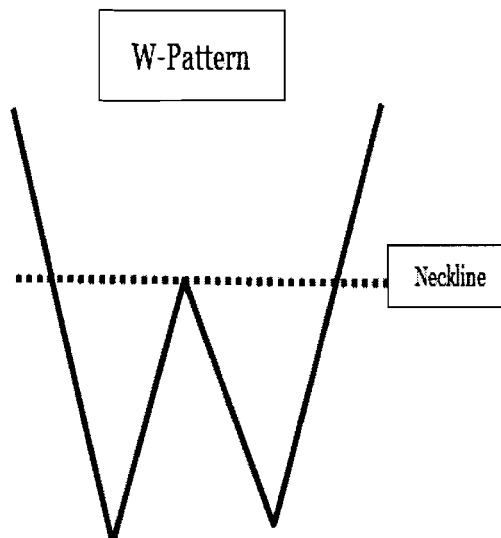
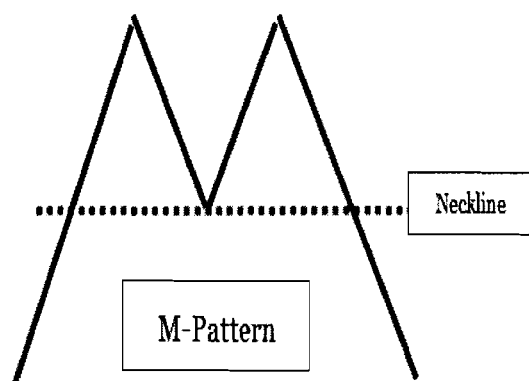
Trades are initiated at the breakdown of the neckline/hump level. For W-Bottoms, trades are initiated at the breakout of the neckline/hump level. Enter a “long” trade above the high of the breakout bar at neckline level, and for M-Tops enter a “short” trade below the low of the breakdown bar at neckline level.

Targets:

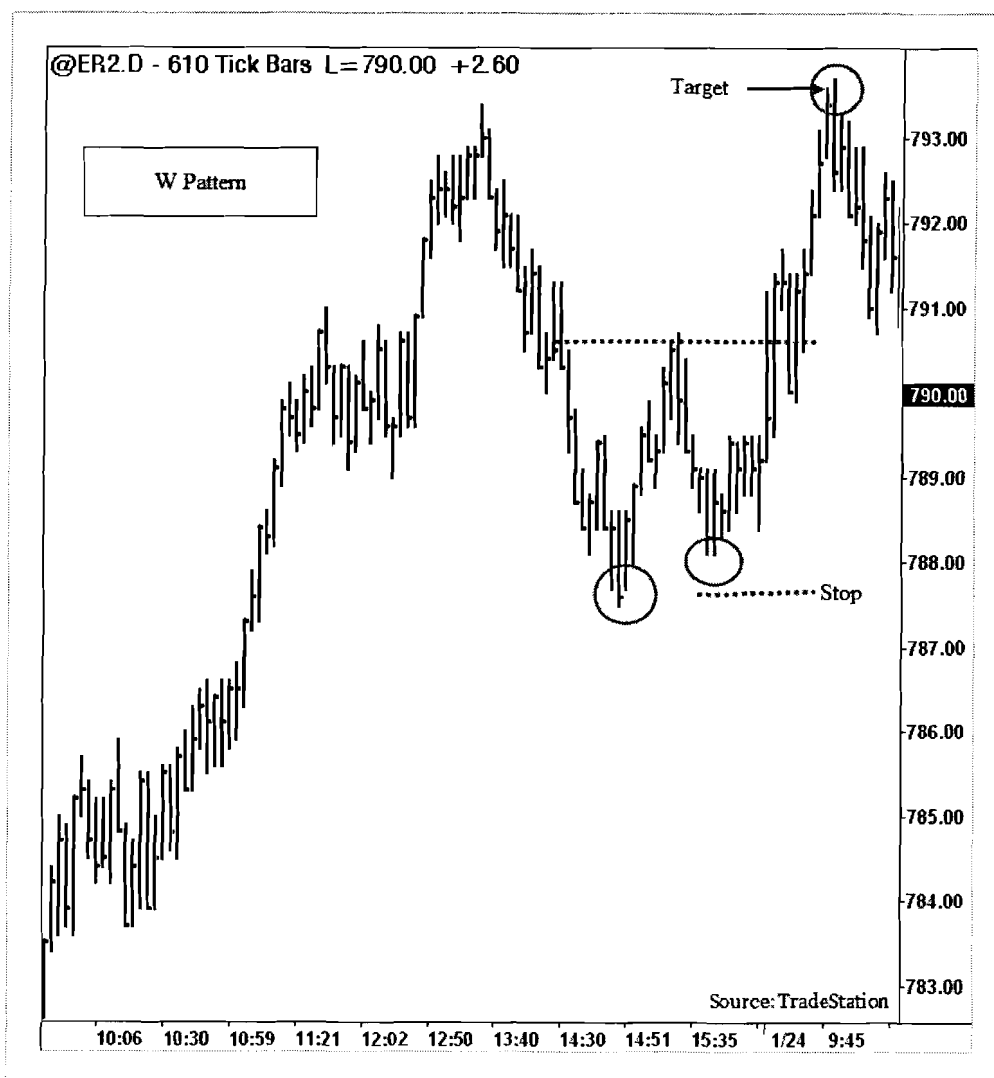
In both patterns, the targets are set at the pattern high for W-Pattern and pattern low for M-Pattern.

Stop:

For M-pattern, the trade is protected with a stop loss above the pattern high. For W-Pattern, the trade is protected with a stop loss below the pattern low.



Trading W-Pattern

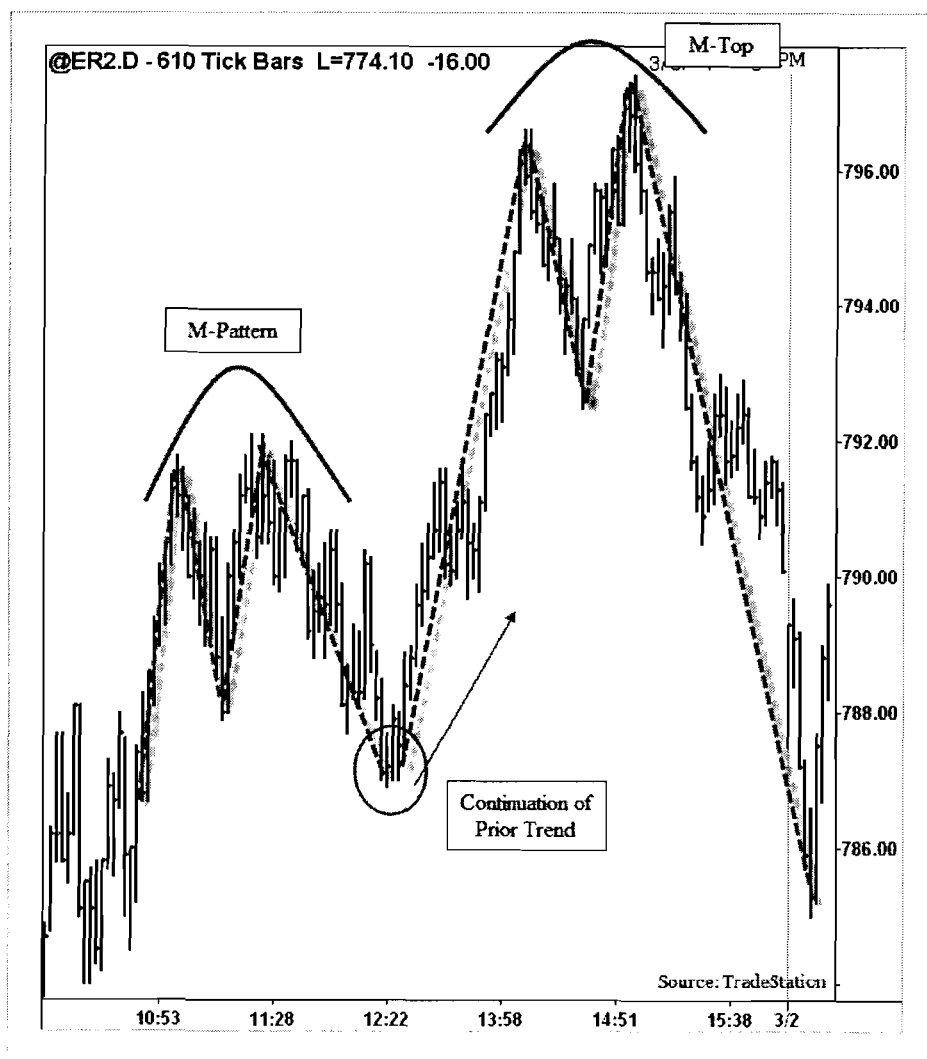


Trading W-Pattern

The example above illustrates a W-Pattern formation at the market highs from the Russell Emini (ER2) chart. After confirmation of the second leg, a “long” trade is entered at the breakout of the neckline/hump level.

1. Enter a “long” trade above the high of the breakout bar of the hump level.
2. Place a “stop” order below the low of the pattern.
3. Set a “target” at the “swing high” prior to the first leg.

Trading M-Pattern



Trading M-Pattern

The example above illustrates a combination of M-Pattern and M-Top. M-Pattern is an occurrence where prices form a M-shape pattern in a congestion zone prior to the trend continuation. M-Top is a clear “top” formation and reversal of trend change. M-Pattern and M-Top are tradable and have clear trading rules and have high reliability. In addition, they are part of 5-point Gartley structures with similar trading rules as Gartley patterns. The major difference between these patterns is M-Pattern continues in the prior direction compared to the M-Top which terminates the prior trend.

11.6. Round Top Pattern

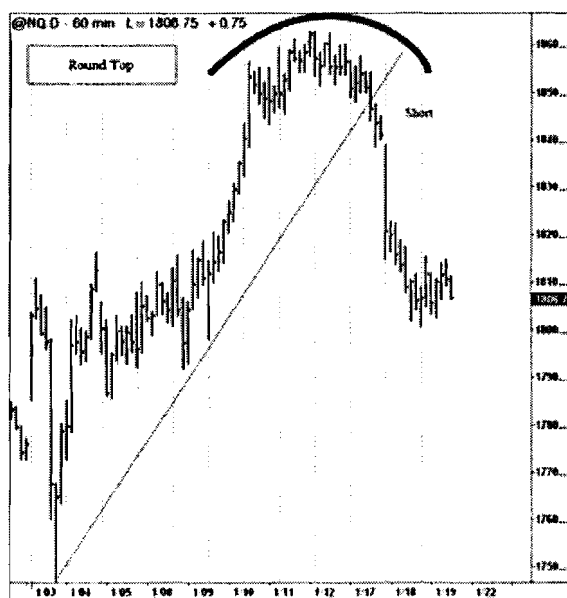
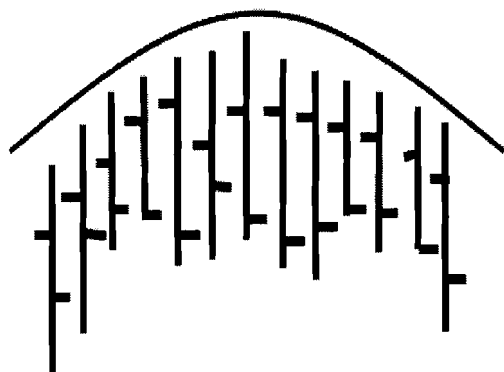
Round Top Pattern

“Round Top” formations are usually reversal patterns that generated over a long periods of time. Indecisive markets move in slow and gradual changes near the tops and bottoms. “Round Top” patterns are formed when prices trade in a tight range making sporadic “lower highs” and “higher lows”. Usually the volume traded in this pattern is very low compared to the prior trend before the pattern formation. Breakdowns from “Round top” patterns will be fast and sharp when price movement occurs. “Round top” patterns also have a high failure rate.

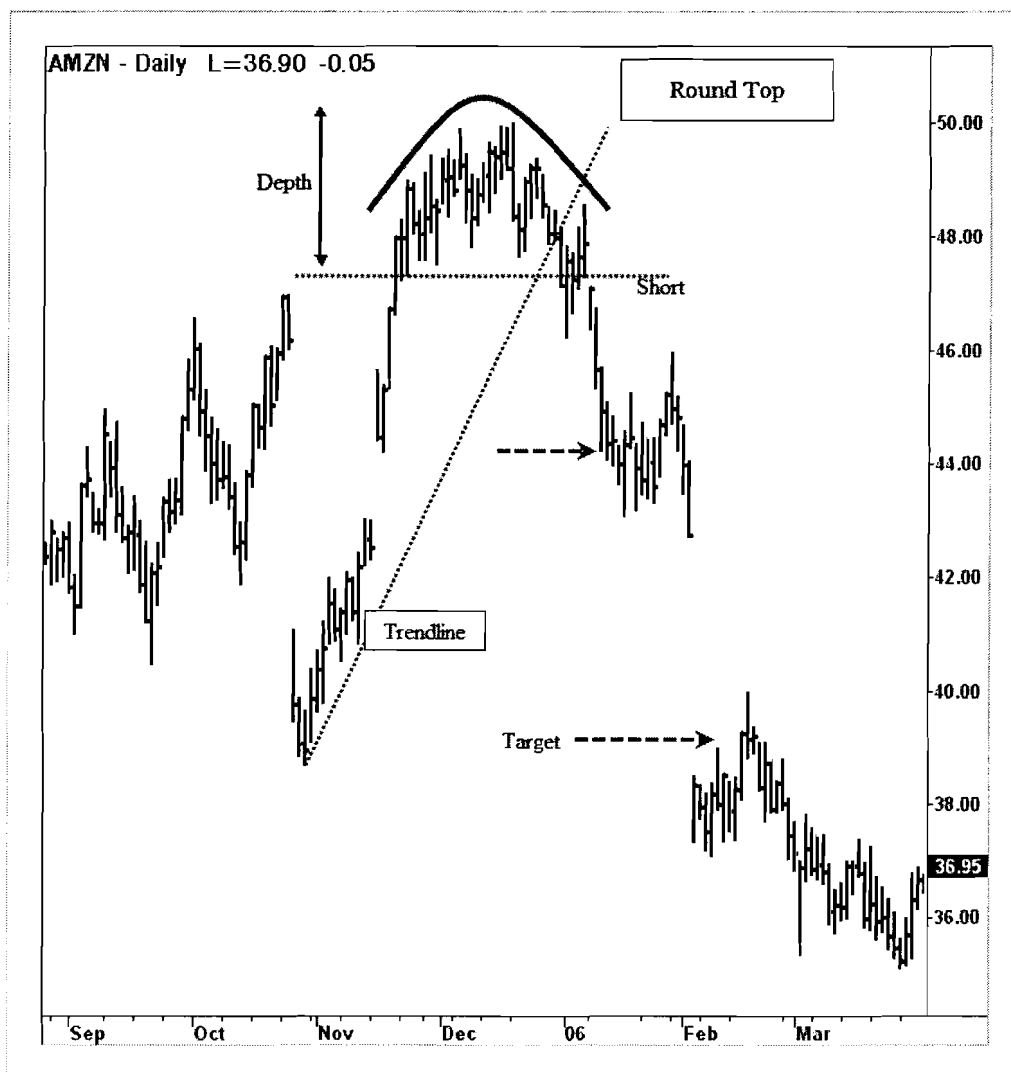
Trade: A trend line is drawn connecting the “Round top” to the previous swings to find the possible trade opportunity. A close below the trend line indicates a trend change and provides a trading opportunity. A “short” trade is entered below the low of the breakdown bar.

Target: Successful “Round top” patterns have very sharp moves to the downside from the breakdown levels. There may be two targets possible. The first target is set at the depth of the “Round top” pattern from the trend line breakdown level. The second target is set at or near the prior “swing lows” before the pattern formation.

Stop: For trades taken on inclined trend line breakdowns, place a “stop” order above the trend line (on close basis) and for trades using horizontal trend line breakdowns, use the mid point of the “Round top” pattern to protect the trade.



Trading Round Top Pattern

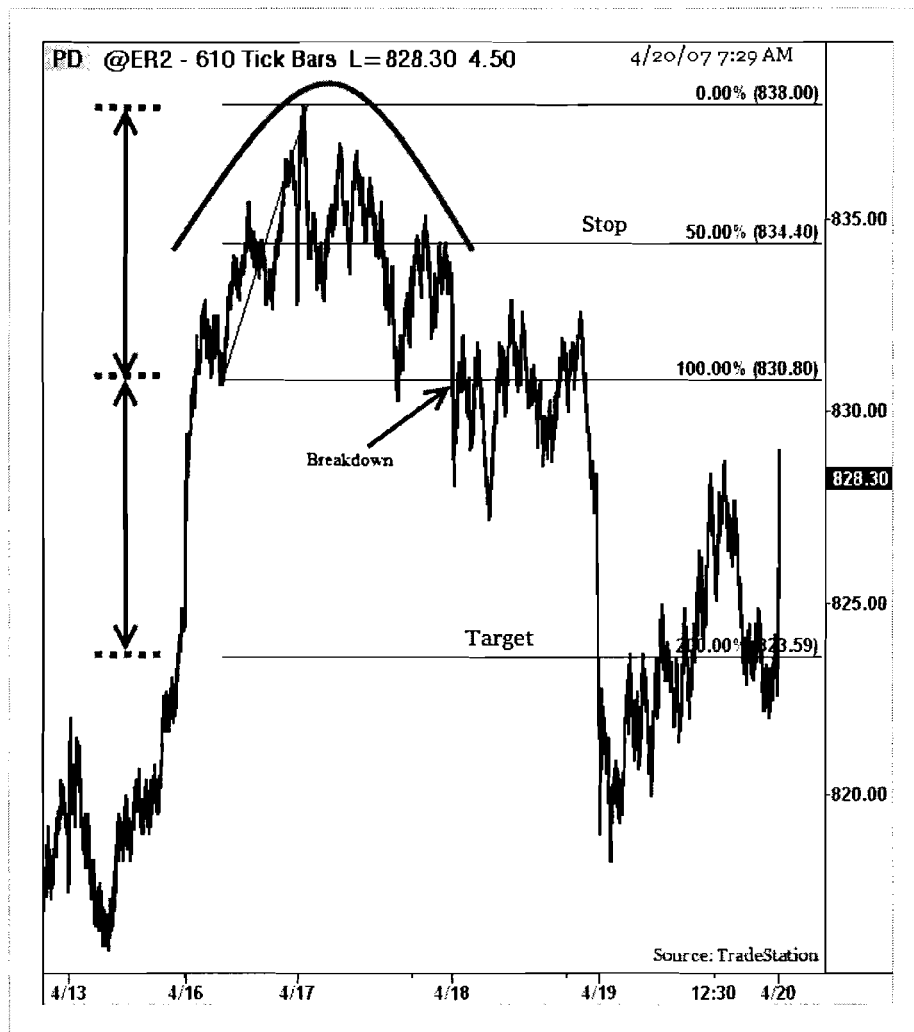


Trading Round Top Pattern

The example above shows a "Round top" pattern formation from the Amazon (AMZN) daily chart. From November 2006 to January 2007, Amazon formed a "Round top" pattern. A trend line is drawn connecting the previous swing low to the "Round top." "Round top" depth is measured for a target range. In January 2007, Amazon closed below the trend line to confirm a "Round top" breakdown.

1. Enter a "short" trade below the trend line at \$47. The depth of the pattern is \$3.
2. Set a first target at \$44 (depth from entry). Set another target near the "swing low."
3. Enter a "stop" order above the trend line (on close basis). A long-term trade stop loss is set above the high of the "Round top" pattern.

Trading Round Top Pattern



Trading Round Top Pattern

The example above illustrates a "Round top" pattern formation from the Russell Emini (ER2) 610 tick chart. From April 16, 2007 to April 18, 2007, ER2 made a "Round top" formation. On April 18th, ER2 closed below the key support areas of "Round top" formation to signal a "short" trade.

1. Enter a "short" trade below the low of the breakdown bar at 830.
2. Place a "stop" order above the 50% depth range of the "Round top" pattern.
3. Target 100% of the "depth" from the breakdown level.

11.7. Round Bottom Pattern

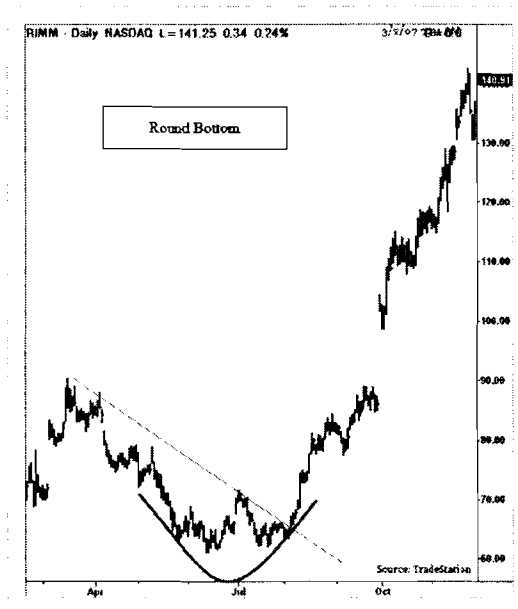
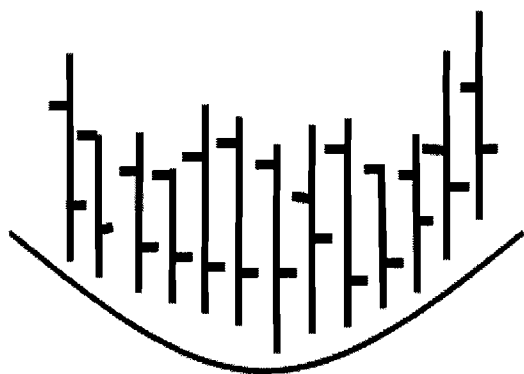
Round Bottom Pattern

“Round Bottom” patterns are also called “saucers” and they form at the market bottoms. “Round bottoms” form after a prolonged down-trend, slow and gradual markets. “Round bottoms” are relatively reliable patterns and are easy to spot (in curve form) at the bottom and have weak volume markets. “Round bottom” trading is similar to a “rectangle” pattern trading and they may be better visible in higher time-frames. A trend line is drawn connecting the “swing highs” of the “round bottom” pattern to initiate the trades at the trend line breakout levels. “Round bottom” patterns with a long base may provide more profitable trades.

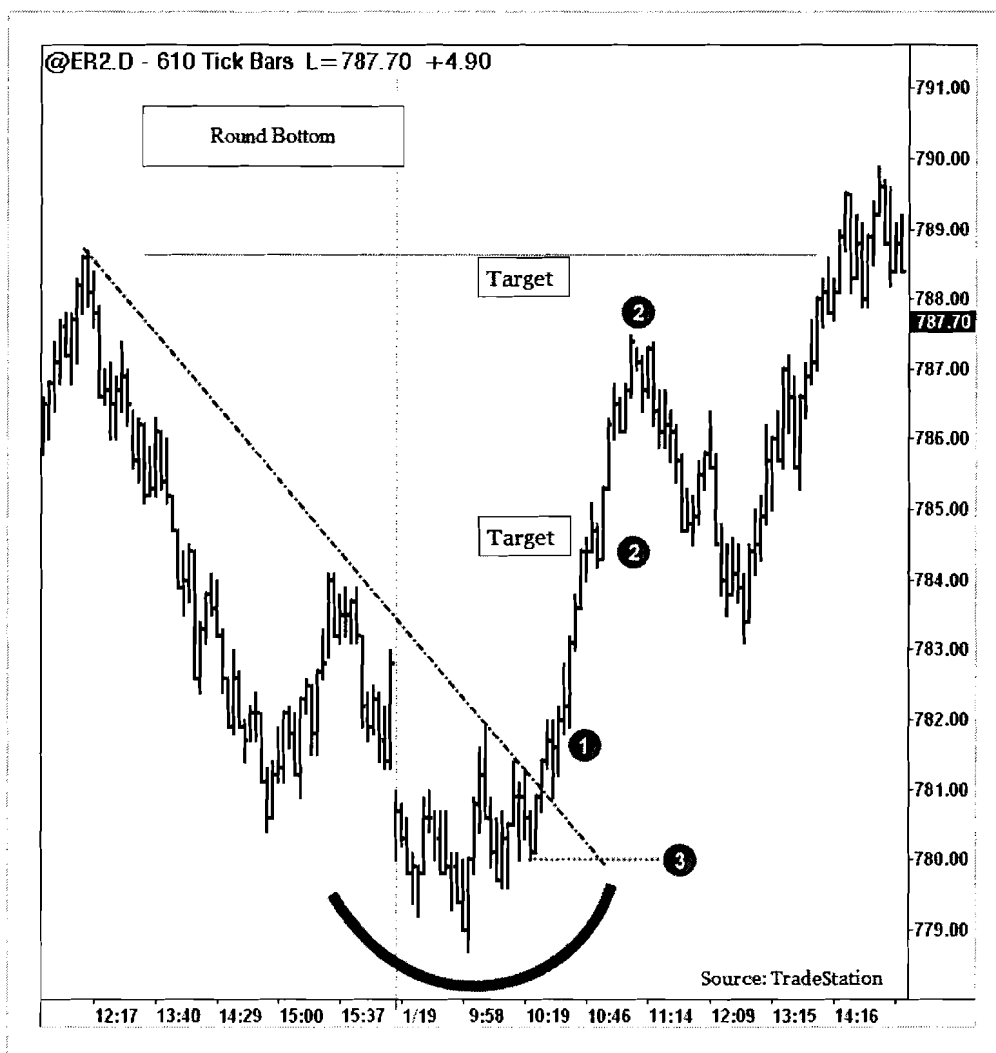
Trade: A trend line is drawn connecting previous “swing highs” prior to the “Round bottom.” Price trading above the trend line signals a breakout and a “long” trade. Enter a “long” trade above the high of the breakout bar from the trend line.

Target: Two potential trade targets are possible in “Round bottom” patterns. The first target is the depth of the “Round bottom” pattern from the breakout level. The second target is the previous “major swing highs”.

Stop: The “Round bottom” pattern trade is based on the trend line breakout. Pattern failure can occur if the market closes below the trend line for a series of bars. Place a “stop” order below the trend line to protect the trade.



Trading Round Bottom Pattern

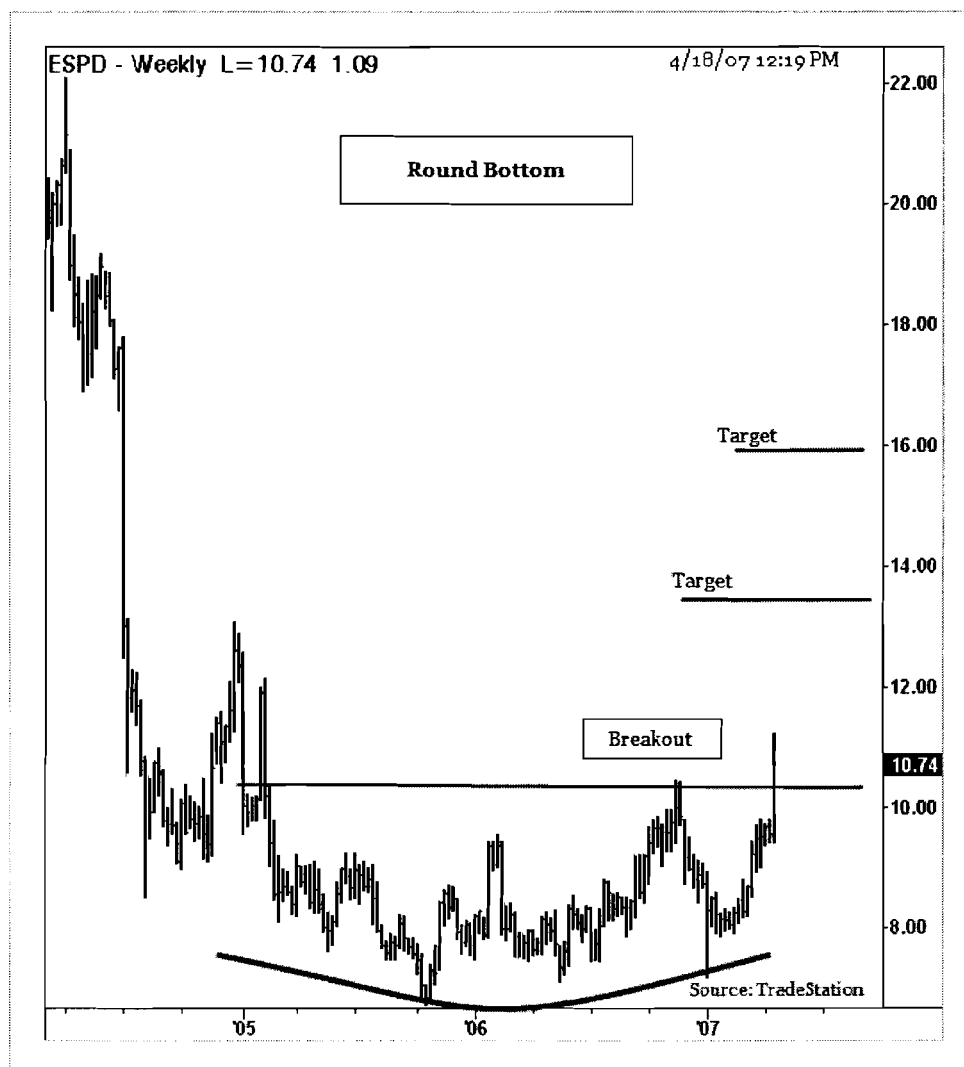


Trading Round Bottom Pattern

The example above illustrates a “Round bottom” pattern from the Russell 2000 Emini (ER2) futures 610 tick chart. On January 19, 2007, ER2 made a series of highs and lows to form a “Round bottom” pattern in the first hour. A trend line is drawn connecting the previous “swing high” and the “Round bottom.”

1. Enter a “long” trade above the high of trend line breakout bar.
2. Place “targets” at previous swing highs prior to the “round bottom” pattern.
3. Place a “stop” order below the trend line.

Trading Round Bottom Pattern



Trading Round Bottom Pattern

The example above illustrates a "Round bottom" pattern formation from the eSpeed (ESPD) weekly stock. ESPD traded in a narrow channel (from \$7.50 to \$10.25) range from January 2005 to April 2007. A horizontal trend line is drawn connecting the highs of the "Round bottom". The depth of the "Round bottom" pattern is about \$2.50. In April 2007, ESPD traded outside the channel and closed above recent "swing high" signaling a potential "long" trade.

1. Enter a "long" trade above the high of the "swing high" at \$10.75.
2. Place a "stop" order below the recent "swing low" at \$8.00.
3. Set "targets" at patterns' depth above the breakout level. Secondary targets may be set at previous major swing high levels.

11.8. V-Top Pattern

V-Top Pattern

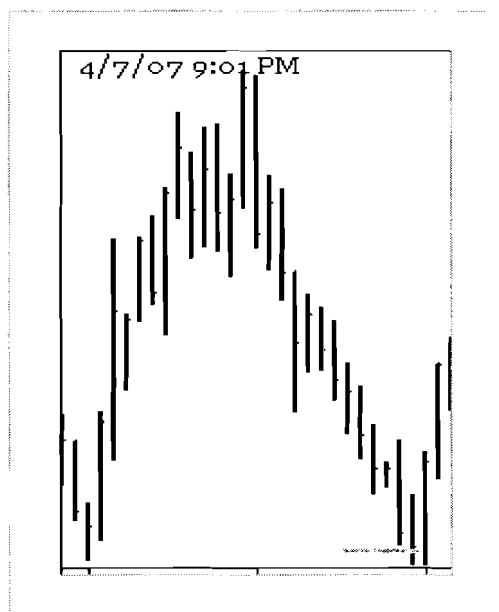
“V-Top” and “V-Bottom” are extreme patterns that are easy to spot in a chart. “V-top” patterns (Inverted V) ascending market action and angle of ascent is very sharp with increased volume. Once a top is made, a sharp price reversal occurs and the descending angle usually will mirror the ascending angle. There will be clear signs at the top (A Dark Cloud or Island Top pattern) before a reversal can occur. Most of the time, prices will retrace all the way down to the start of the rally to make it a true (inverted V) “V-top” formation.

Although the pattern is easy to spot, trading opportunities are challenging due to its steep ascent and the fear associated with it. A trend line is drawn connecting the swing lows in a V-Top pattern. A breakdown below this trend line offers a potential opportunity to short.

Trade: Connect “swing lows” in the ascent of “V-top” pattern. A close below the trend line signals a breakdown. Enter a “short” trade below the low of the breakdown bar.

Target: After price reversal, “V-top” patterns tend to travel in the similar angle as the ascent angle. A target is set at the “swing low” of the pattern before the rally.

Stop: Place a “stop” order above the close of the trend line. A longer-term stop would be above the high of the “V-top” Pattern.



Trading V-Top Pattern

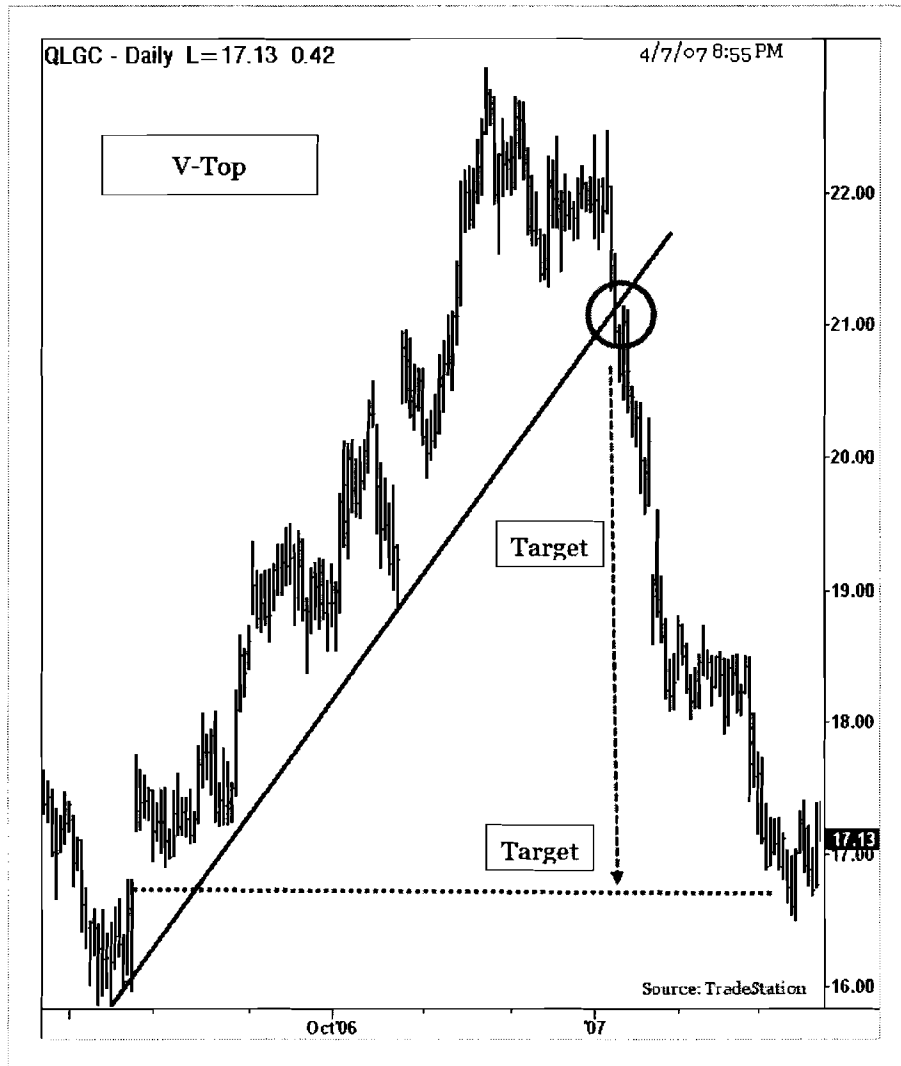


Trading V-Top Pattern

The example above shows a “V-top” formation from the daily Gold futures chart. Gold futures rallied during year 2005 and in part of year 2006. In May 2006, Gold made a new high and closed near 760. A Dark Cloud candlestick pattern signaled a reversal in Gold as it started to descent. By mid May 2006, Gold closed below the trend line at 680 to signal a potential “short” trade.

1. Enter a “short” trade below the trend line at 680.
2. Place a “stop” order above the trend line at 705 to protect the trade.
3. Place a “target” at the “swing low” prior to the “V-top” rally at 580 level.

Trading V-Top Pattern



Trading V-Top Pattern

The example above illustrates a “V-top” pattern formation from the QLogic daily chart. The chart shows a “spike and ledge” formation after the “V-top” formation. A “ledge” formation after a “spike” is usually a strong confirmation of potential reversal sign. A breakdown below the ledge will lead to a much stronger down trend. A trend line is drawn connecting the “swing lows” below the “ledge” formation. A breakdown below the “ledge” formation confirms a “V-top” pattern.

1. Enter a “short” trade below the low of the breakdown bar.
2. Place a “stop” order above the “ledge” pattern high.
3. Place a “target” at a major “swing low” or “gap” area approaching the “V-top.”

11.9. V-Bottom Pattern

V-Bottom Pattern

As the name implies, “V-Bottom” patterns resemble a “V” shape. “V-Bottoms” are formed after a steep decline followed by a rally to reach the top of the pattern. “V-bottom” patterns form quite often and are not always easy to detect until part of the formation is complete. “V-bottom” patterns usually have a single day of spike run-down or exhaustion sell-offs before the rally begins.

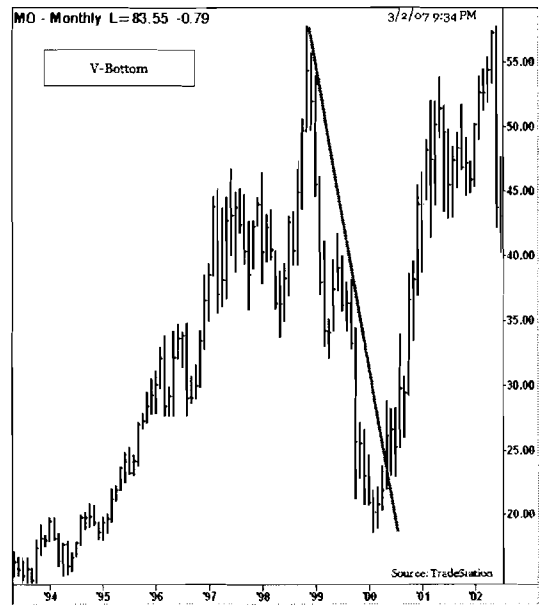
“V-bottoms” usually produce high volume on the “spike” or “exhaustion” day followed by even higher volume on the following days. Daily prices usually do not attempt to close near the “low” of the thrust days to signal a potential reversal pattern.

A trend line is drawn connecting the previous “swing highs” in the “V-bottom” pattern. A “confirmation” is signaled when the price closes above the trend line.

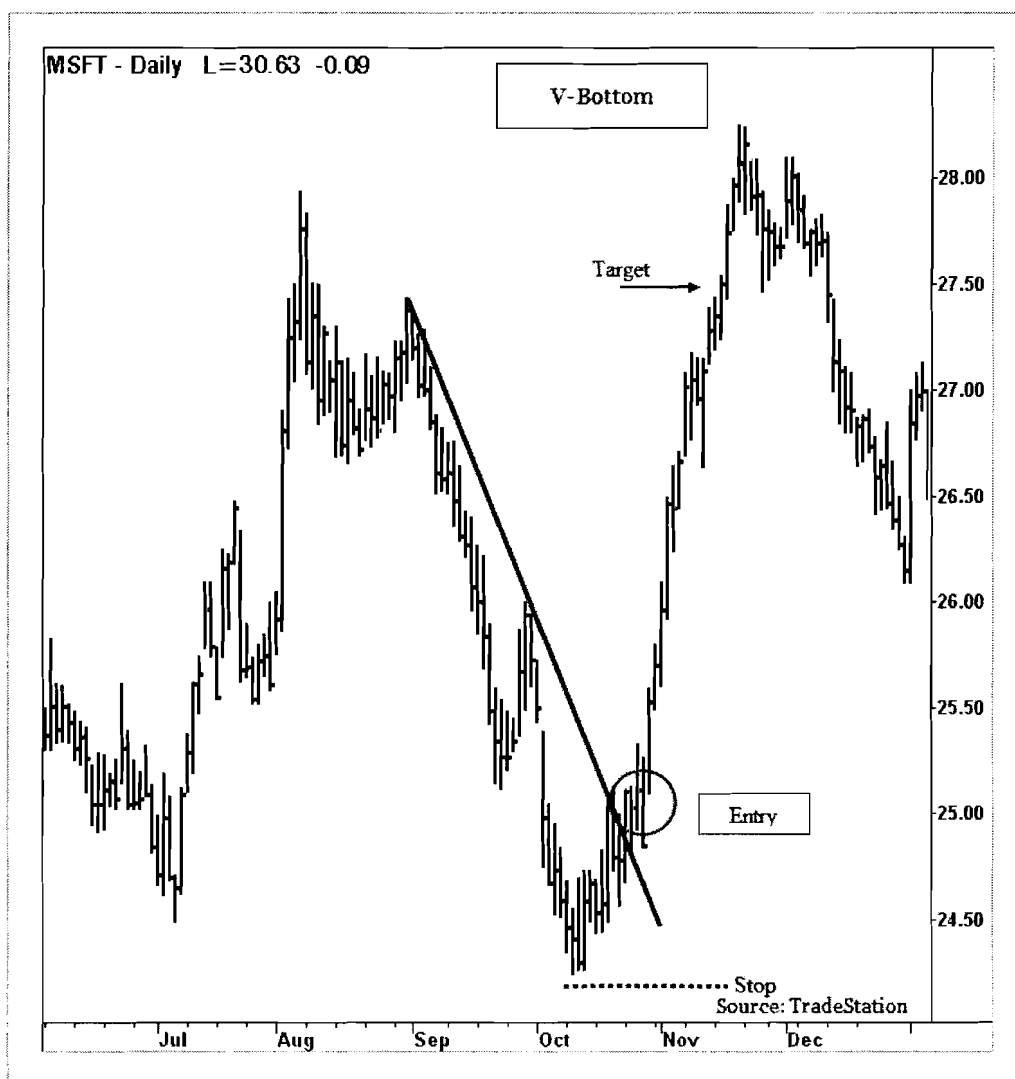
Trade: Wait for a confirmation above the trend line. Enter a “long” trade above the high of the breakout bar.

Stop: “V-bottom” failure can occur when prices close below the low of the “V-bottom” pattern.

Target: “V-bottom” patterns usually return to the prices at the top before another descent. Set targets near the “top” of the pattern.



Trading V-Bottom Pattern

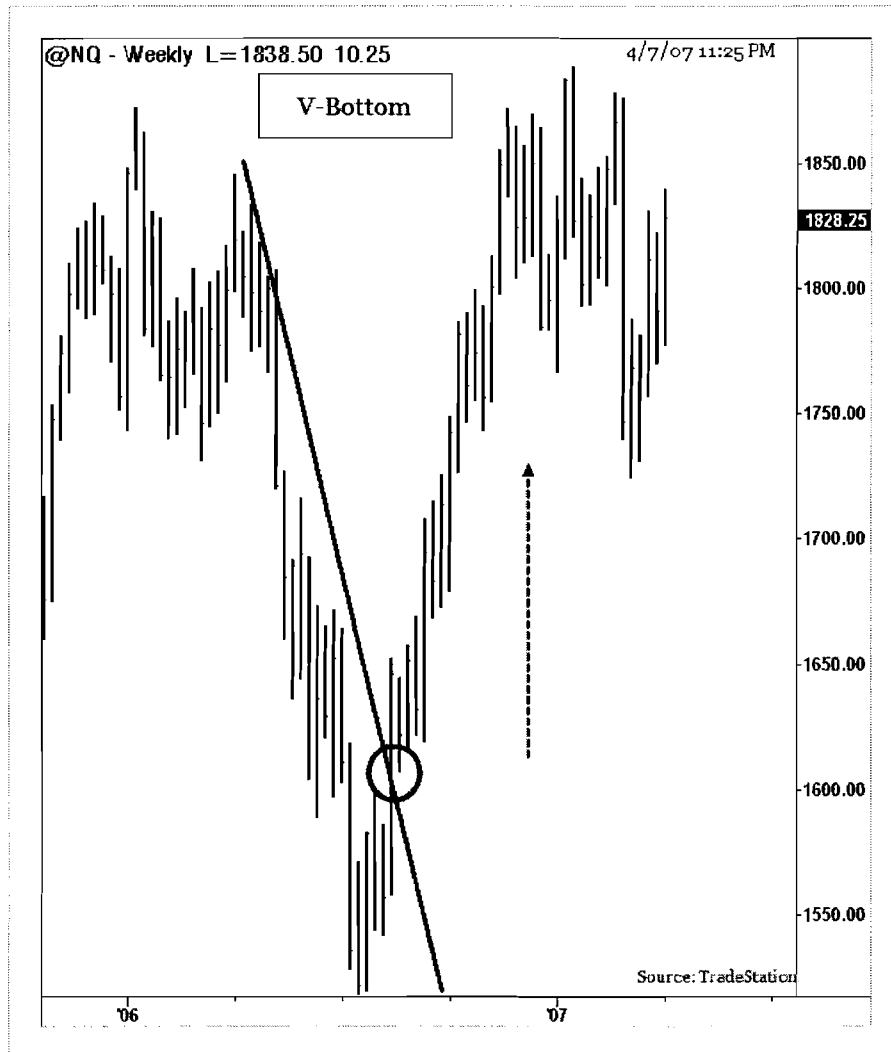


Trading V-Bottom Pattern

The example above illustrates a “V-bottom” pattern formation from Microsoft’s daily chart. In August 2006, Microsoft made a high of \$27.75 and retraced to \$24 by October 2006. In anticipation of its Vista release, Microsoft rallied from October, 2006 to November 2006 making a “V-bottom” pattern. A trend line is drawn in the above chart connecting the previous “swing high” and “V-bottom.”

1. Enter a “long” trade above the high of the trend line breakout bar.
2. Place a “stop” order below the pattern low or “swing low.”
3. Target the previous “swing high” prior to the “V-bottom.”

Trading V-Bottom Pattern



Trading V-Bottom Pattern

The example above illustrates a “V-bottom” pattern from the NASDAQ Futures (NQ) weekly chart. From April 2006 to June 2006, NQ fell sharply and closed below 1500. In July 2006, NQ reversed and started to climb up. A trend line is drawn in the above chart connecting the “swing highs” to position the “long” trade. A close above the trendline signals the trend reversal and a “long” trade.

1. Enter a “long” trade above the high of the trend line breakout bar.
2. Place a “stop” order below the “V-bottom” pattern’s low.
3. Target the previous “swing high” prior to the “V-bottom” pattern.

11.10. Double Top Pattern

Double Top Pattern

“Double Top” patterns occur when prices fail to make new highs at significant previous high levels. “Double top” patterns are relatively reliable and easy to trade. Also, these patterns fail as they may potentially form “triple” or “multiple” top formations. “Double tops” usually signal the end of a bull run, depending on the width of the top formation. Volume in the first swing should be heavier than the volume on the second swing. In addition, the volume may be heavier on the breakdown bars. If the breakdown volume is weaker, it may be signaling a “triple” or “multiple” top formation

Trade:

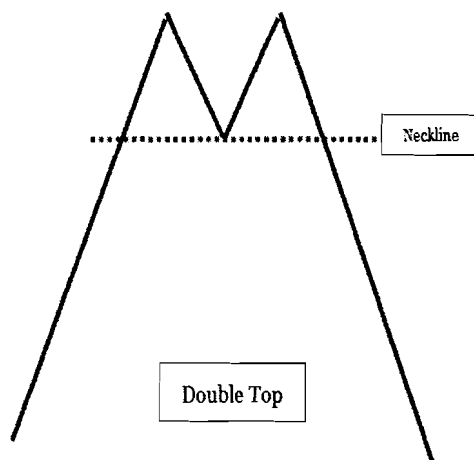
A “Double top” pattern confirmation occurs at the breakdown level of “swing lows” at neckline. Enter a “short” trade below the previous “swing low” at neckline.

Target:

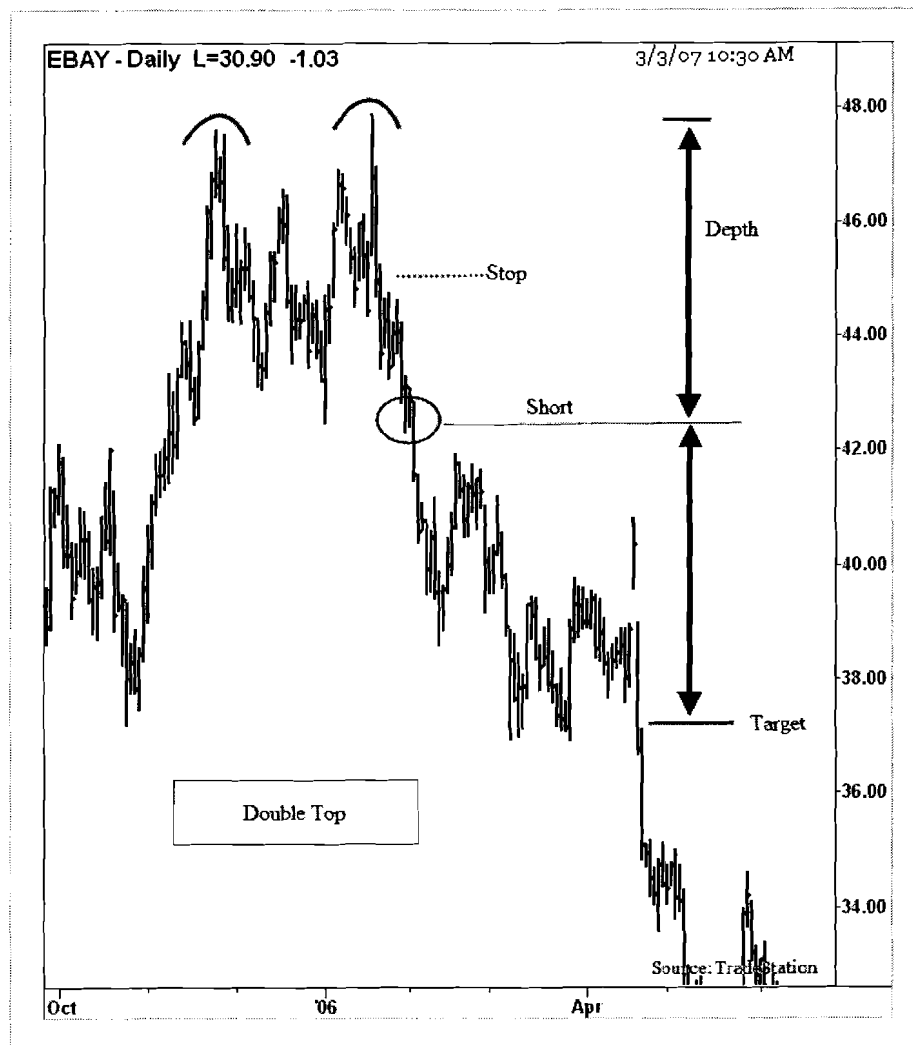
“Double Top” patterns do offer a good risk/reward ratio. Measure the distance between the top of the pattern to the neckline for potential target range from the trade entry.

Stop:

“Double tops” also fail and form “triple” or “multiple” top patterns. Usually the “Double top” pattern failure occurs when prices reverse and trade at the middle of the “Double top” pattern. Enter a “stop” order at the middle of the pattern range to protect the trade.



Trading Double Top Pattern

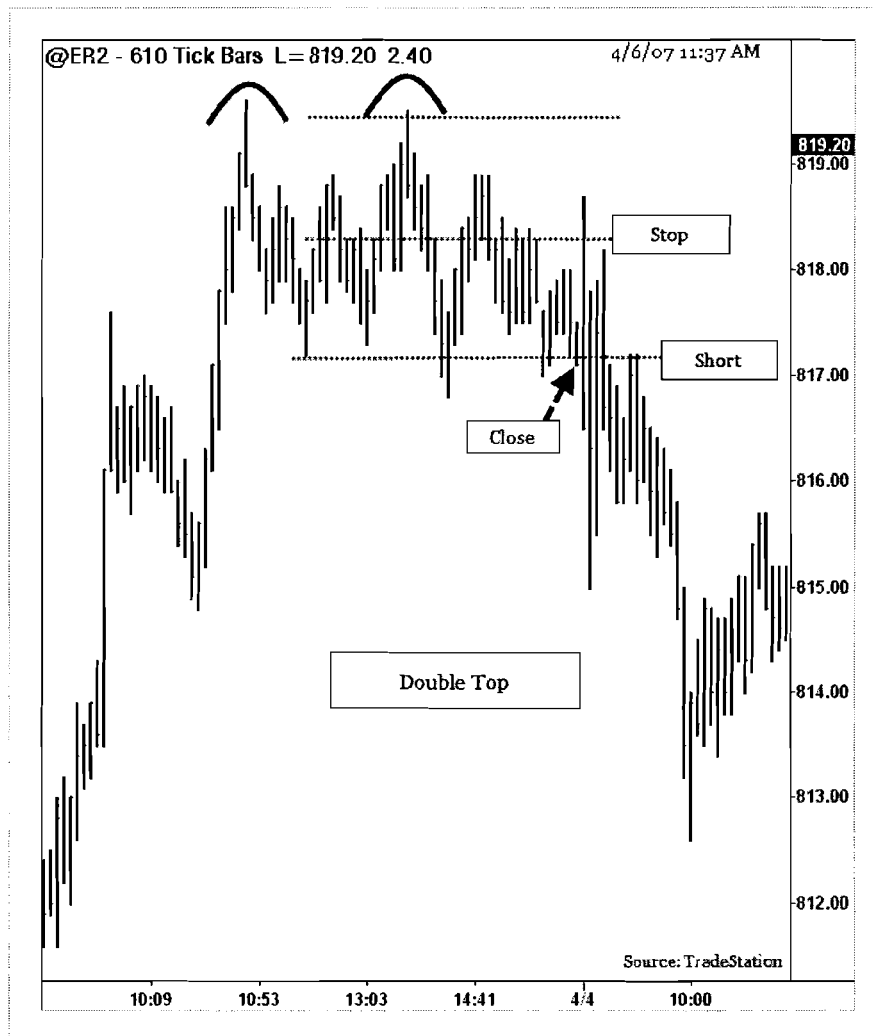


Trading Double Top Pattern

The example above illustrates a “Double top” formation from the EBay daily chart. EBay formed a “Double top” pattern from November 2006 to January 2007 around \$47 level. Late January 2007, EBay started to decline from the “Double top” level and closed below \$42. This close below neckline signaled a potential “short” trade. The depth of the “Double top” is \$5.

1. Enter a “short” trade below the “low” of the breakdown bar at \$42.50.
2. Protect with a “stop” order at the middle of the channel at \$45
3. Place a “target” at the depth of the “Double top” pattern below the breakdown level to \$37.50.

Trading Double Top Pattern



Trading Double Top Pattern

The example above illustrates a “Double top” formation from the Russell Emini 610 (ER2) tick chart. ER2 formed a “Double top” pattern on April 3, 2007 near the 819.5 level. The next day, ER2 started to decline from the “Double top” level and closed below the “swing low” of 816.5. Price closing below the neckline signaled a potential “short” trade. The depth of the “Double top” is 2.5 points.

1. Enter a “short” trade below the “low” of the breakdown bar at 816.5.
2. Place a “stop” order at middle of the “Double Top” channel at 818.5
3. Place a “target” at the depth of the “Double top” pattern below the breakdown level to 814.

11.11. Double Bottom Pattern

Double Bottom Pattern

“Double Bottom” patterns form when prices fail to make new lows at a significant bottom area. Most of the time, the lows on the two “bottom bars” form within 2 to 5 percent of the applicable price range. “Double bottom” patterns are easily detected after the apparent formation, and can be traded with good confirmation signals. Volume may provide a good confirmation signal as the volume in the first swing would be heavier than the volume in the second swing. Volume may also be heavier on the breakout. If the breakout volume is weaker, it may be signaling a third bottom.

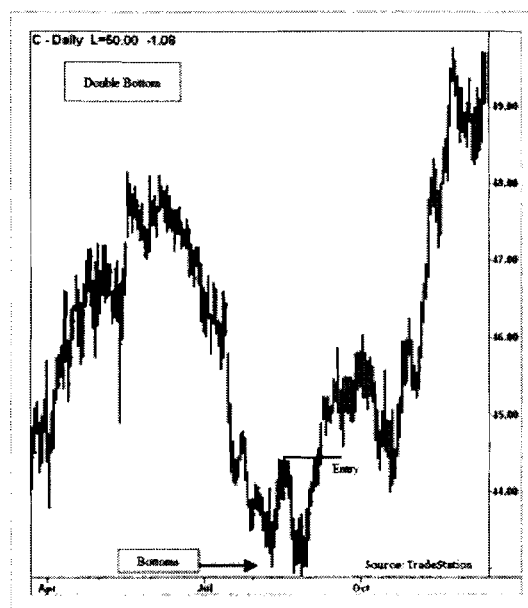
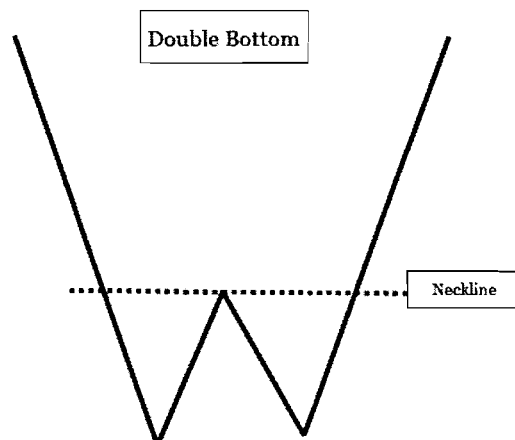
Trade:

A “Double bottom” can only be traded after confirmation of the pattern breakout. Confirmation of the pattern occurs when prices close above neckline. Enter a “long” trade above the high of the breakout bar from the neckline.

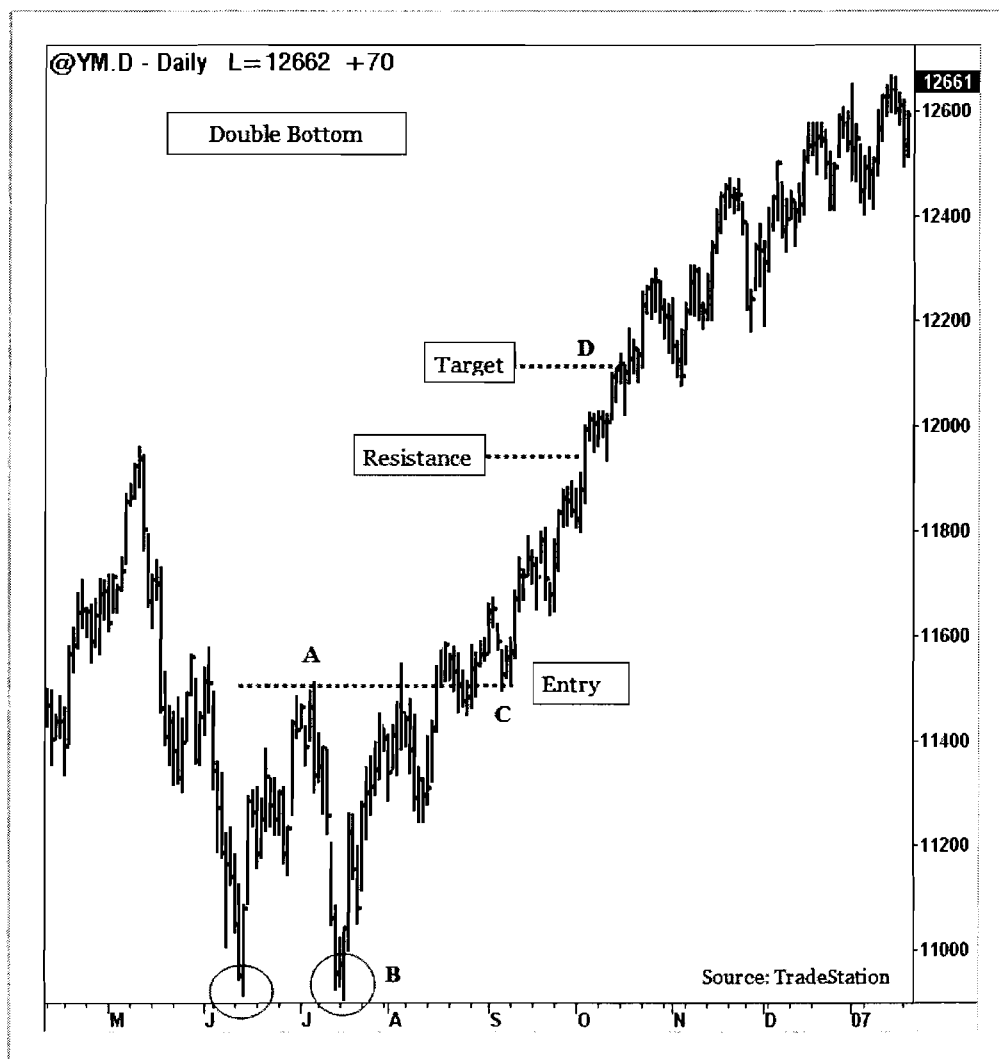
Target:

“Double bottom” patterns also have a good risk/reward ratio. The first target would be 100% of the swing range of the pattern. The second target would be 127% to 162% of the depth of the “double bottom” pattern.

Stop: “Double bottom” patterns do fail. This pattern failure occurs if the price closes below in the middle of the pattern for multiple bars. Trading below the bottom of the pattern could be a signal of triple bottom. Place a “stop” order below the middle of the pattern to protect the trade.



Trading Double Bottom Pattern

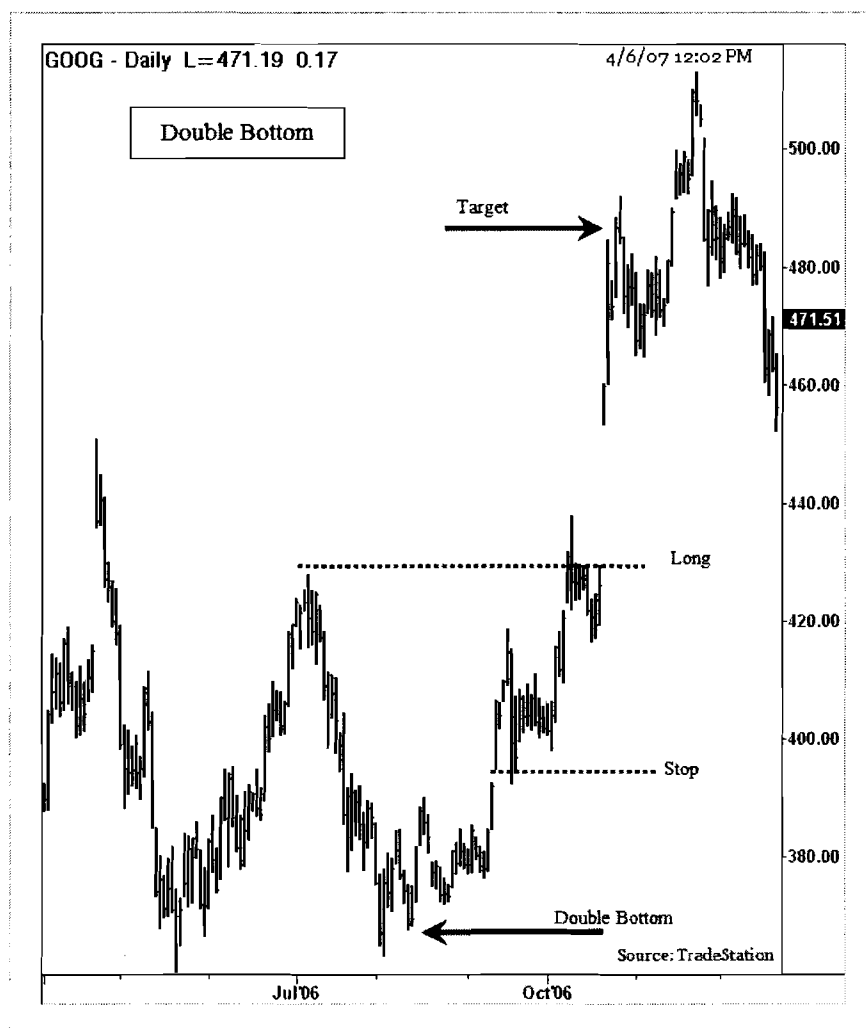


Trading the Double Bottom Pattern

The example above illustrates a “Double bottom” pattern formation from the Dow Emini futures (YM) chart. YM made a double bottom from June, 2006 to August, 2006 at the 10,800 level. The “Double bottom” pattern is relatively easy to trade. A “long” trade was triggered at the breakout of the swing high (at level “A” 11,500).

1. Enter a “long” trade above the high of the breakout bar at level “A” at 11,500.
2. Place a “stop” order at the middle of the channel (trading below may be “triple bottom”).
3. Target the depth of the “double bottom” pattern (600 points) above the trade entry.

Trading Double Bottom Pattern



Trading the Double Bottom Pattern

The example above illustrates a “Double bottom” pattern formation from the Google (GOOG) chart. GOOG made a “Double bottom” from June 2006 to August 2006 at \$370 level. The “Double bottom” patterns are relatively easy to trade. A “long” trade is triggered at the breakout of the “swing high” (at \$430). The depth of the “Double bottom” pattern is \$60.

1. Enter a “long” trade above the high of the breakout bar at \$430 level.
2. Place a “stop” order at the middle of the channel (trading below may be “triple bottom”).
3. Target the depth of the “Double bottom” pattern above the trade entry.

11.12. Triple Top Pattern

Triple Top Pattern

“Triple Top” patterns are multiple top patterns indicating when prices try to make new highs and fail on the last attempt. “Triple top” patterns look like “Head and Shoulders” patterns, and are moderately reliable patterns to trade. However, “Triple top or bottom” patterns do fail and failures may be probably more reliable and stronger as they trade in opposite direction. Most “Triple top” pattern lows occur within 2% to 5% of price range. “Triple tops” are relatively easy to detect and offer a good risk to reward ratio. A confirmation is needed before trades are initiated. Heavy volume is traded in the first swing up, but the remaining swings will incur with diminished volume. In addition, heavy volume is followed at the breakdown of the pattern.

Trade:

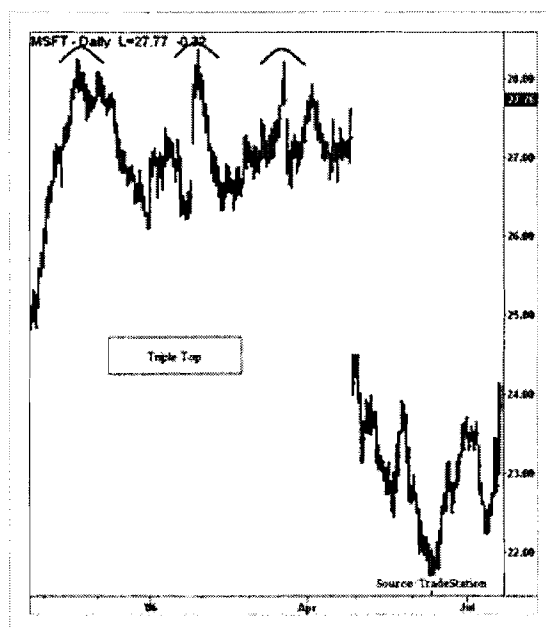
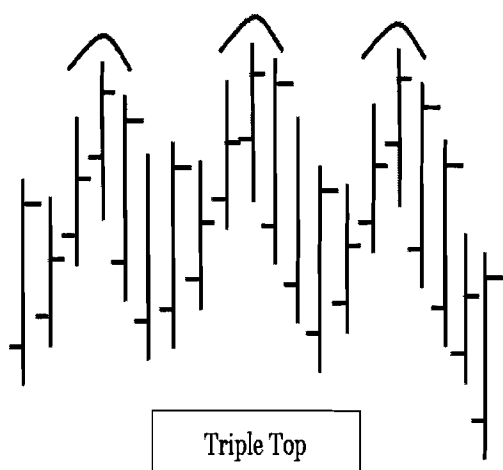
There are two types of possible trades that occur in “Triple top” patterns. An aggressive trade (short) is placed near the last attempt at the lower high of the previous two swing highs. The second trade is possible when prices close below the lower low of the previous two swings at breakdown.

Target:

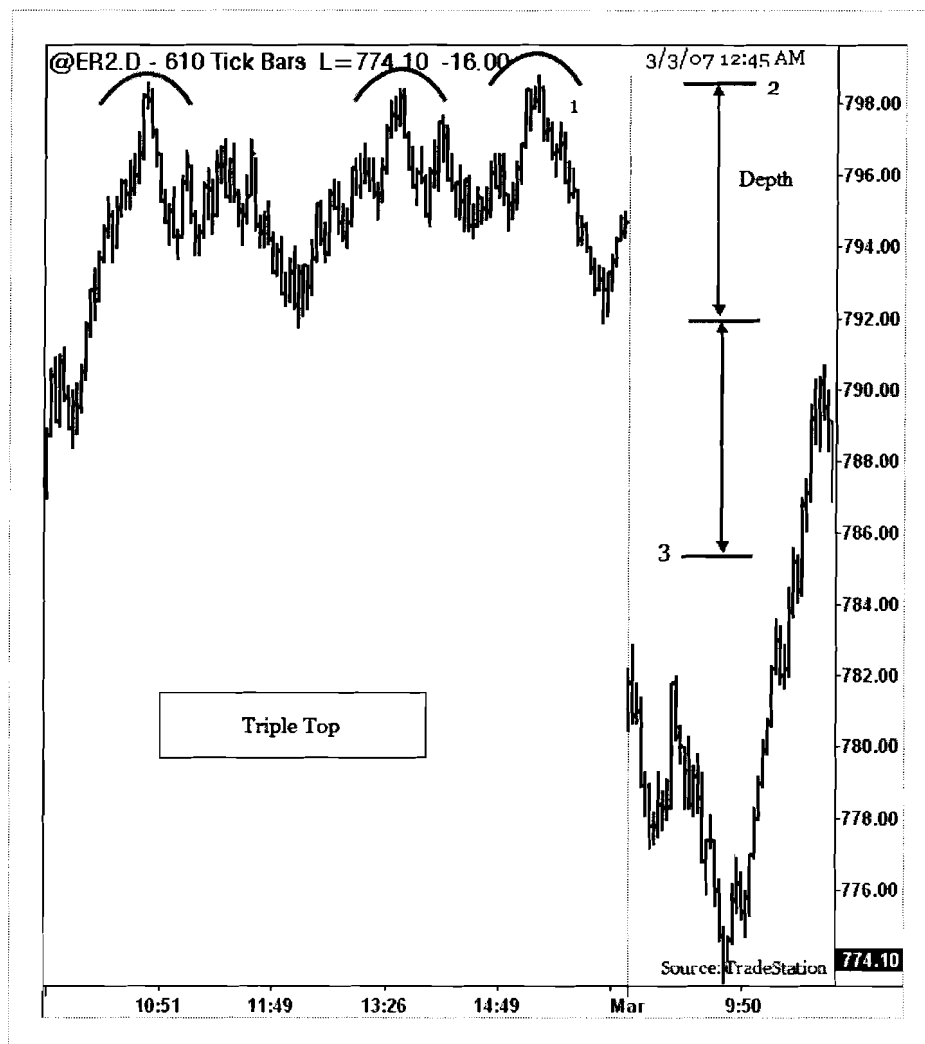
“Triple top” patterns have excellent risk/reward ratio. Measure the depth of the “Triple top” between swings and subtract the depth from breakdown level.

Stop:

“Triple top” patterns fail when prices attempt to close above the highest “swing high” of the pattern. Place a “stop” order above the “swing high” of the “triple top” to protect the trade.



Trading Triple Top Pattern

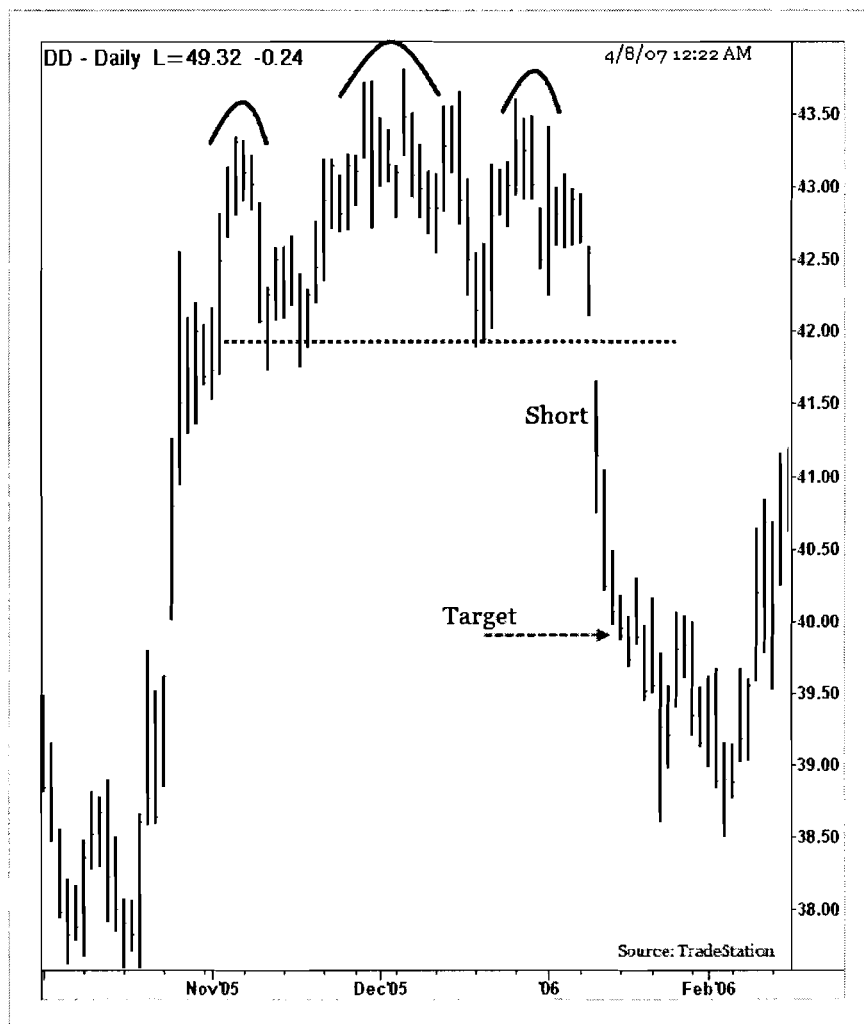


Trading Triple Top Pattern

The example above illustrates a “Triple top” pattern from an intraday Russell Emini futures chart. On February 28, 2007, Russell made a significant “Triple top” at the 798 level and was hesitant to cross at the 798 level. On its third failed attempt to close above 798 failure, the pattern suggested a potential short entry.

1. After a failed third top, enter a “short” trade one-tick below the low of previous bar at 796.
2. Place a “stop” order above the “swing high” at 798.5.
3. Targets are set at pattern depth from the “swing low” of the “Triple top” pattern at 786.

Trading Triple Top Pattern



Trading Triple Top Pattern

The example above illustrates a “Triple top” pattern from Dupont’s daily chart. From November, 2005 to January, 2006, Dupont attempted to cross above \$43.5 and traded in a price range between \$42 and \$43.5. In December 2005, Dupont made a final failed attempt to cross the \$43.5 level and closed below \$42 on its reversal. Closing below the \$42 level gave a short trading opportunity.

1. Enter a “short” trade below the low of the breakdown bar.
2. Place a “stop” order above the last “swing high.”
3. Target the depth of the “triple top” pattern from the price entry.

11.13. Triple Bottom Pattern

Triple Bottom Pattern

The “Triple Bottom” pattern is a reversal pattern that occurs at major market bottoms. The “Triple bottom” pattern is formed when prices fail to make new lows on three different occasions. Most “Triple bottom” pattern lows occur within 2% to 5% of price range. “Triple bottoms” are relatively easy to detect and offer good risk to reward ratio. A confirmation is needed before trades are initiated. Heavy volume is traded in the first swing down but the rest of the swings will have a diminished volume followed by heavy volume at breakouts.

Trade:

The “Triple bottom” patterns offer excellent risk and reward ratios. There are two types of possible trades. The first trade is an aggressive type to buy near the higher of the first and second swing lows and protect the trade with the “lowest low.” The second type of trade is triggered after a confirmation of the pattern. This confirmation of pattern occurs when the higher of two prior swings is traded. Enter a “long” trade above the high of the breakout bar.

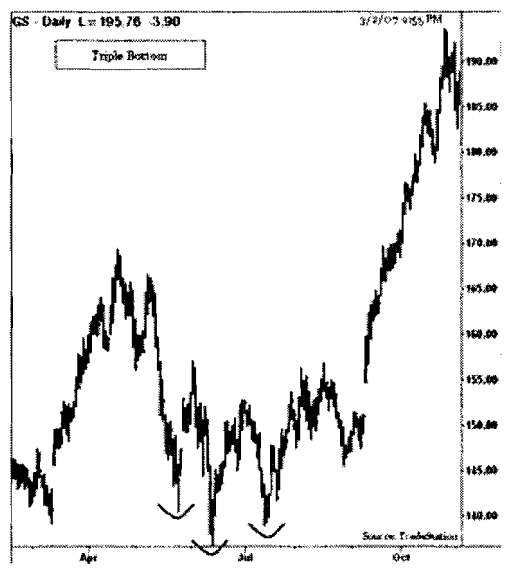
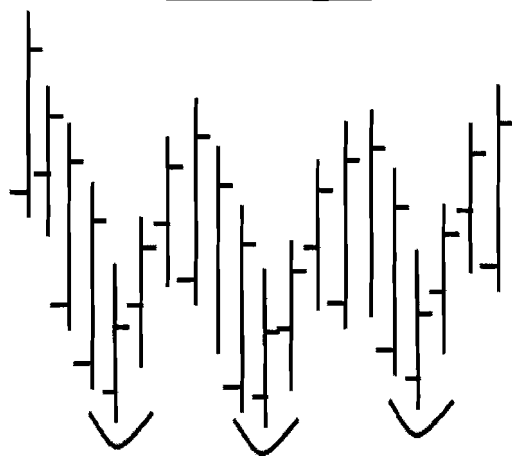
Target:

In both trading cases above, targets are set from 62% to 100% of the depth of the three swings.

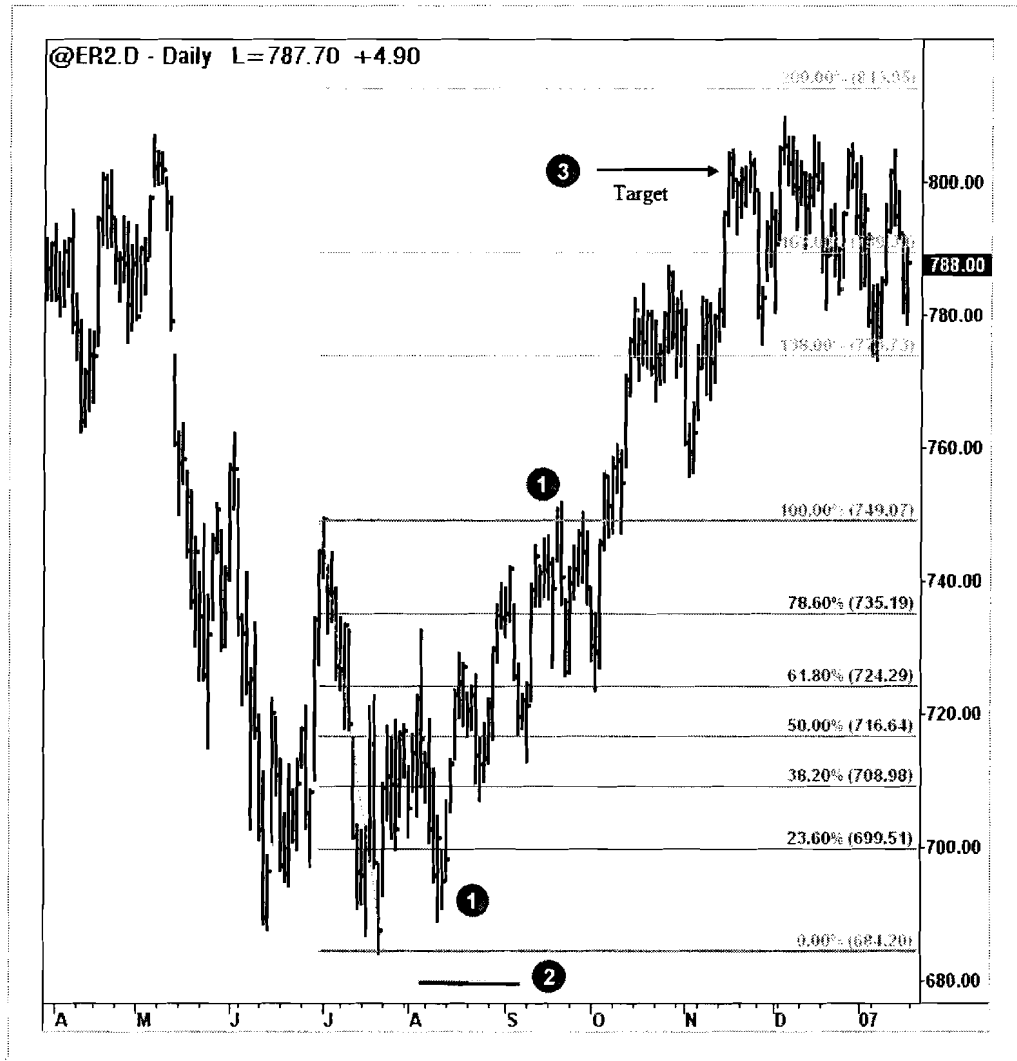
Stop:

Protect the trades by placing a “stop” order below the “lowest low” of all three swing lows.

Triple Bottom



Trading Triple Bottom Pattern

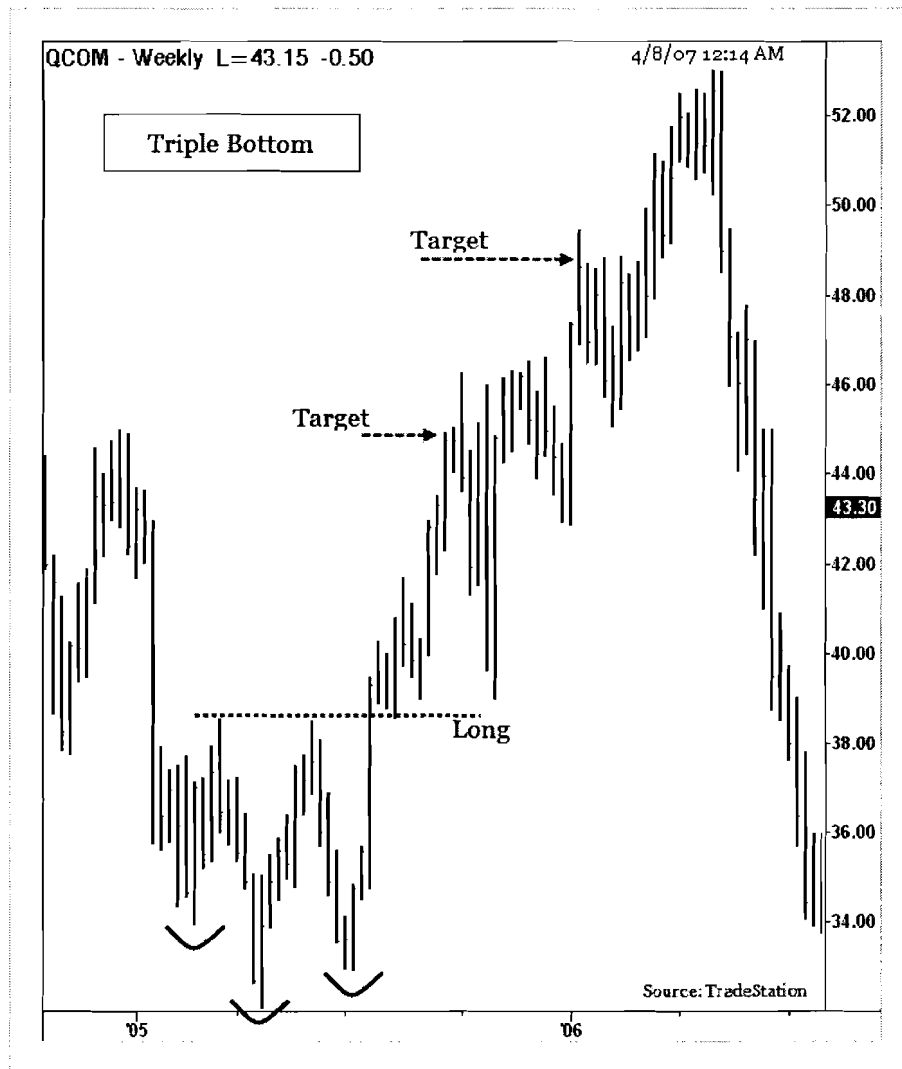


Trading Triple Bottom Pattern

The example above shows a “Triple bottom” pattern from the Russell 2000 daily chart.

1. Enter first “long” trade above the high of a reversal bar after three “swing lows” at 685. Enter another “long” trade on the breakout of the “swing high” of the “Triple bottom” pattern (at 749).
2. Protect the trade by placing a “stop” below the “lowest” of three “swing lows.”
3. The targets are set from 62% to 100% of the depth of “Triple bottom” pattern above the breakout level.

Trading Triple Bottom Pattern



Trading Triple Bottom Pattern

The chart above shows a “Triple bottom” pattern from the Qualcomm’s (QCOM) weekly chart. From January 2005 to June 2005, Qualcomm attempted to close below the \$33 level three times while attempting to make a “Triple bottom” pattern. After the third failed attempt, QCOM rallied above the neckline of the “Triple bottom” pattern to provide an opportunity to trade long.

1. Enter a “long” trade above the high of the breakout bar at \$39.
2. Place a “stop” order below the low of the recent “swing low” at \$34.
3. Place a “target” at the depth (\$5) of the “Triple bottom” pattern (\$5) above the “neckline”.

Chapter 12: Exotic Patterns

12.1. Dragon Pattern

Dragon Pattern

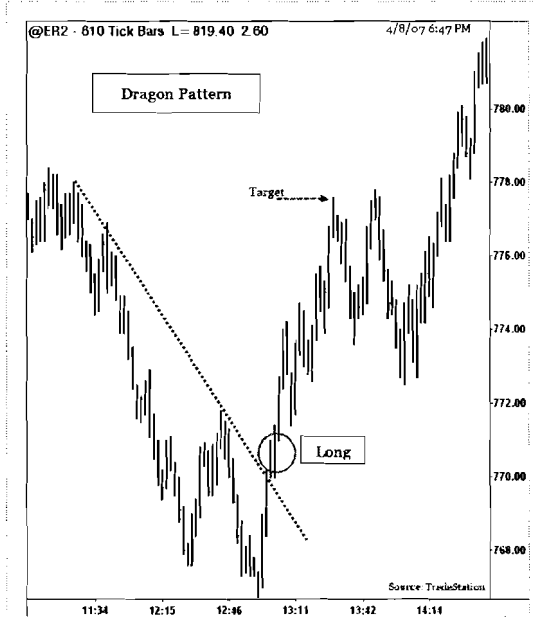
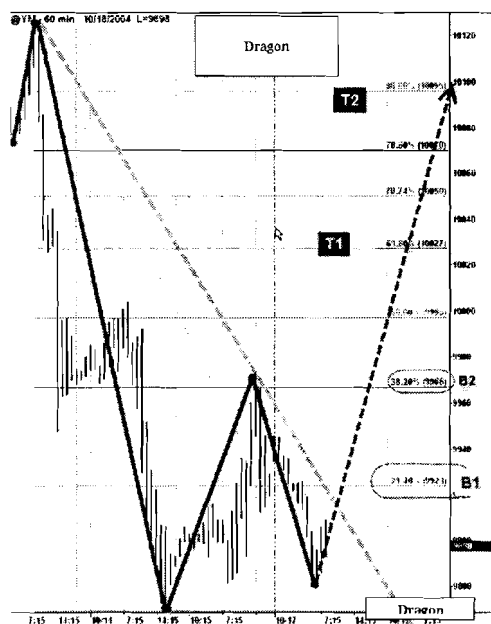
The “Dragon” pattern is similar to the “W” pattern or the “Double Bottom” pattern with few different trading rules and different targets. “Inverse Dragon” patterns are similar to “M” pattern. “Dragon” patterns usually form at market bottoms. Dragon patterns work in all time-frames and in all market instruments. Like most “Double bottom” patterns, “Dragon” patterns present excellent trading opportunities with low risk to reward ratios.

The “Dragon” patterns start with a “Head” formation and price declines from the head level form two legs of the “Dragon”. These two legs in a “Dragon” pattern usually form within 5% to 10% of the price difference. The second leg has a strong indication of reversal as it posts a key reversal bar, or a “divergence” in any oscillator indicators. The price rise in the second leg is usually followed by a spike in the volume. A trend line is drawn connecting the head of the “Dragon” to the hump. When the price closes above the trend line and confirmed by price action or divergence in any oscillator, it signals a reversal. The second confirmation of “Dragon” occurs when the price closes above the hump, 38% to 50% of the range from head to the low of the first leg.

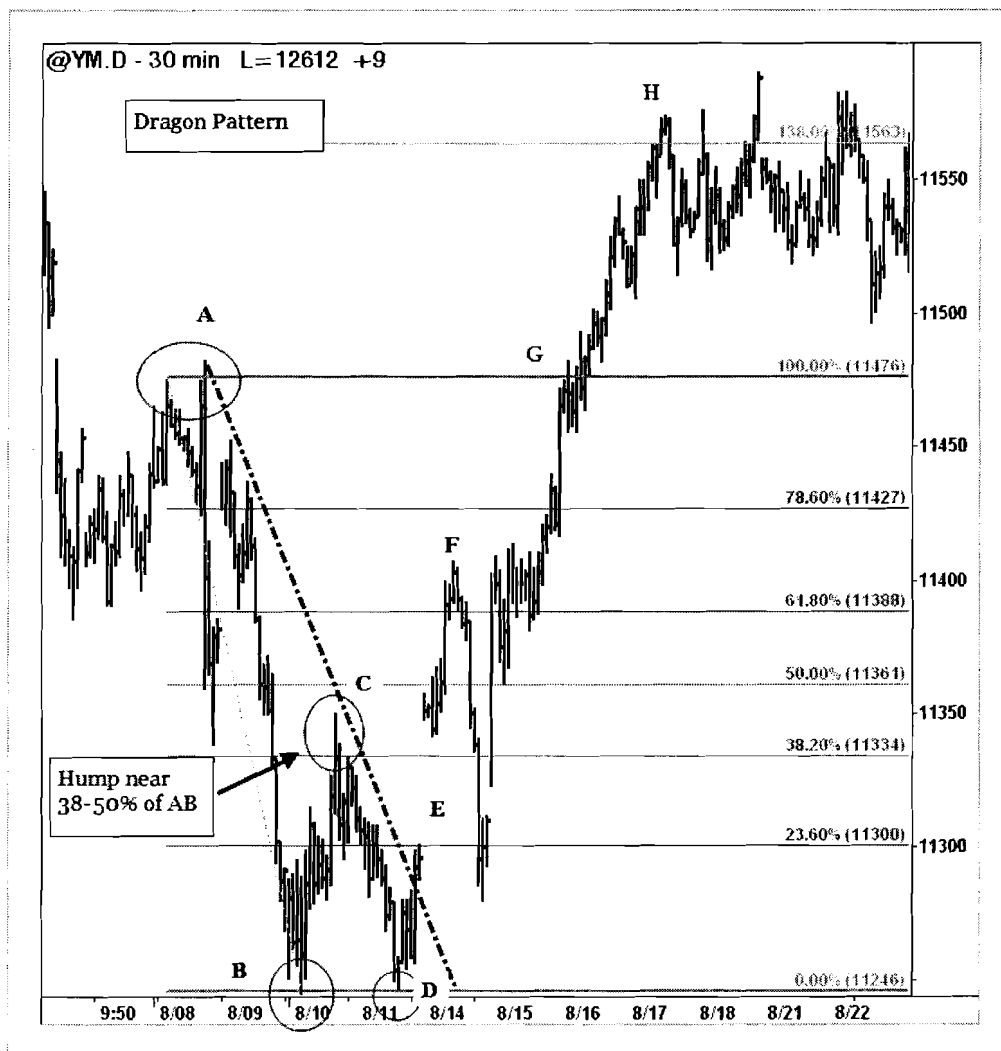
Trade: Aggressive traders enter a “long” trade when the price closes above the trend line. A better trade entry may be signaled when the price closes above the hump level. Enter a “long” trade few ticks above the hump level.

Target: Targets are usually at 127% of the second leg range and another target is set at near the “head” level.

Stop: Place a “stop” order below the “lowest low” of the two legs.



Trading Dragon Pattern

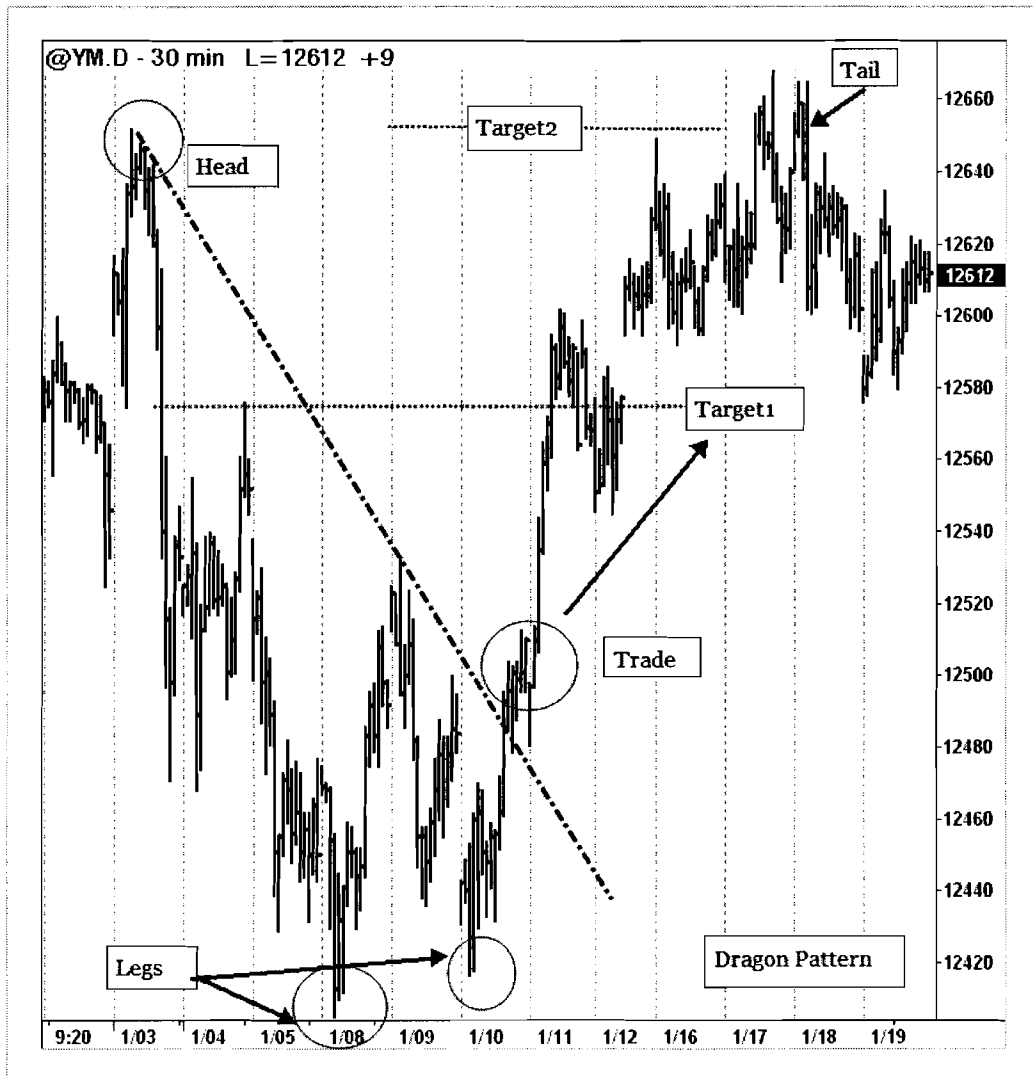


Trading Dragon Pattern

- Head
- Formation of “first leg.”
- Hump (must be 0.38 to 0.5 of AB).
- “Second leg” (can be 0.618 to 1.27 of AB).
- Trend line “breakout” (Long Trigger).
- First “target” at 1.27 of CD.
- Second “target” at 0.886 to 1.0 of BC.
- Third “target” at 1.38 of AB.

STOP: Place a stop few ticks below the lowest low of two legs.

Trading Dragon Pattern

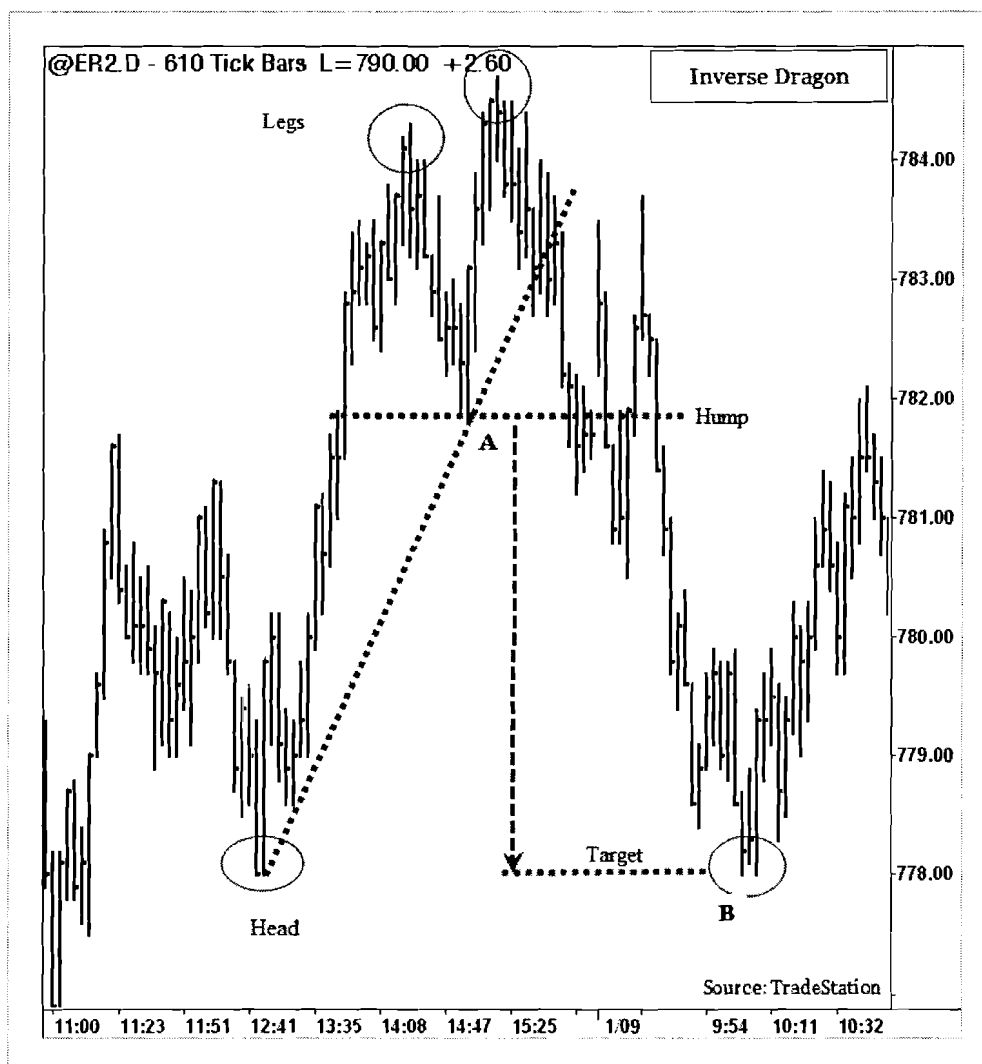


Trading Dragon Pattern

The example above shows a "Dragon" pattern formation from the Dow Emini futures 30 minute chart. On January 3, 2007, Dow futures formed the head of the "Dragon." Prices declined until January 8th in the first leg formation. On January 8th, prices tried to recover as they rallied to 12520. A trend line is drawn connecting the "top" of the "head" and "top" of the first leg. On January 10th, the second leg was formed as prices retraced from the hump area to 12420. A confirmation of "Dragon" is first signaled when prices closed above the trend line at 12500.

1. Enter a "long" trade at 12,520 (close above the high of the breakout bar).
2. Target the first "swing high" prior to leg (1) at 12,570 and "head" area at 12,640.
3. Place a "stop" order below the lowest low of the two legs at 12,410.

Trading Inverse Dragon Pattern

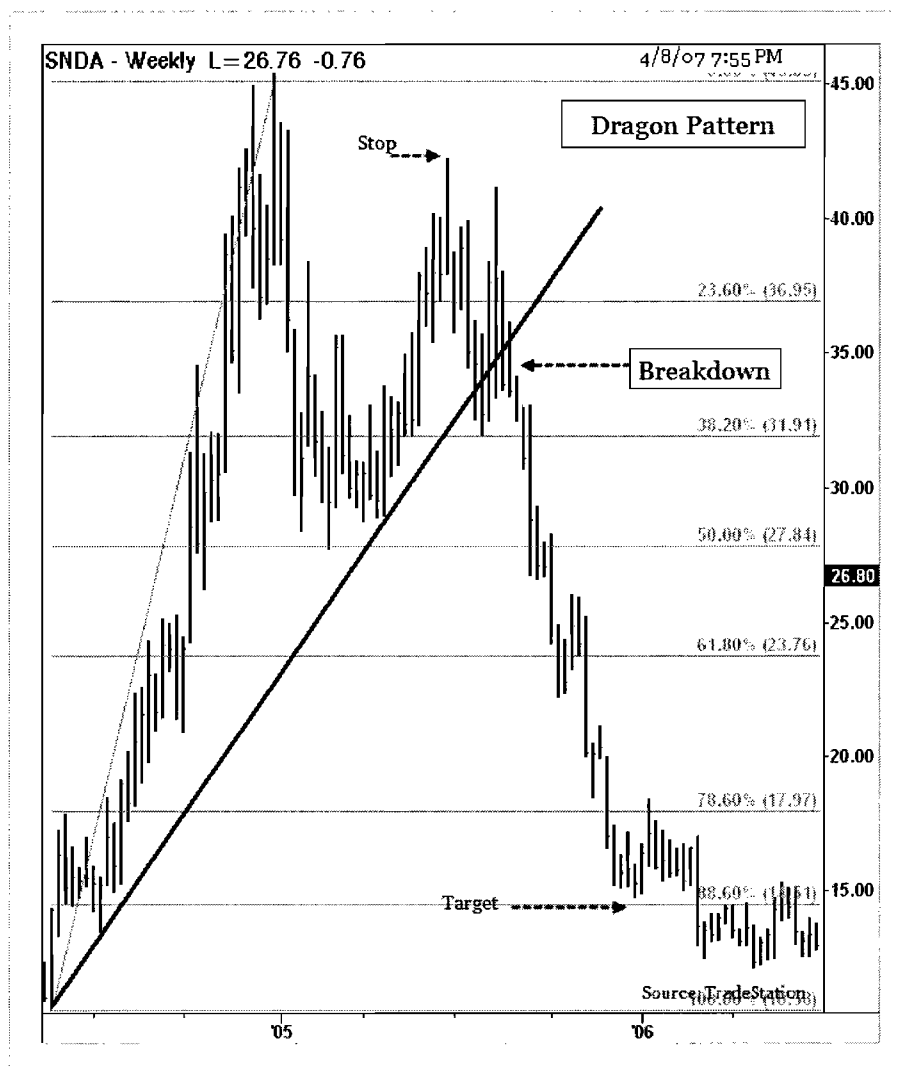


Trading Inverse Dragon Pattern

The “Inverse Dragon” is an upside down “Dragon” pattern and its trading rules are similar to “Dragon” rules. The “Inverse Dragon” is a rare, but a very reliable pattern. The “Dragon” pattern starts with a “head,” “hump” and two “legs” (inverse). The hump area is usually at 38% to 50% of the range between the “head” and the first “leg.” A “close” below the trend line triggers the first “short” trade. A “close” below the “hump” line to trigger another “short” trade.

1. Enter a “short” trade below the trend line.
2. Target the “swing low” prior to the first “leg.”
3. Place a “stop” order above the highest high of the two legs.

Trading Inverse Dragon Pattern



Trading Inverse Dragon Pattern

Inverse Dragon is an upside down “Dragon” pattern with trading rules similar to “Dragon” rules. The hump area is usually formed at 38% to 50% of the range between the “head” and first “leg.” A close below the trend line triggers the first “short” trade. A “close” below the “hump” line confirms the “Dragon” and signals another short trade.

1. Enter a “short” trade below the trend line.
2. Target the “swing low” prior to the first leg.
3. Place a “stop” order above the “high” of the second leg.

12.2. Sea Horse Pattern

Sea Horse Pattern

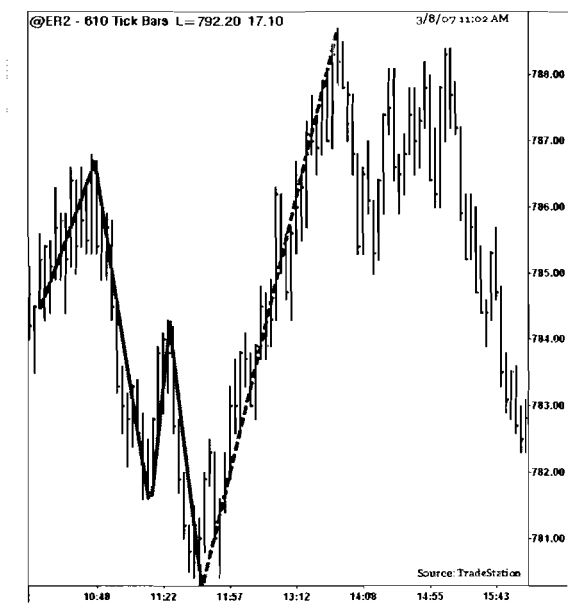
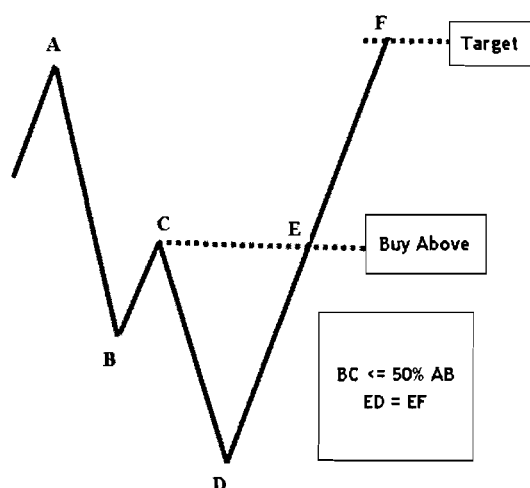
The Sea Horse pattern is a variation of the ABC pattern which I discovered in 2005. It is related to the ABC pattern theory, and is quite reliable in trending markets. The “Sea Horse” pattern may be rare in daily or weekly charts, but it occurs frequently during intra-day trading. The primary difference between the ABC pattern and “Sea Horse” pattern is its trade setup, and the retracement ratios along with the angle of descent. The ABC pattern trade triggers after ABC pattern completion; whereas, in a “Sea Horse” pattern, the trade occurs after a full reversal and trend confirmation.

In an ABC pattern, the BC retracement occurs at the 0.618 to 0.786 range; whereas, in a “Sea Horse” pattern, the retracement occurs from 38% to 50% of the prior swing. In “Sea Horse” pattern, the angle of descent is much faster than ABC pattern, and the retracement will be at about 38% to 50% of the entire range. The trade-action point in the ABC pattern is after completion of the pattern, and in “Sea Horse” pattern, the trade-action point is after the price reversal and trading above the retracement at C level.

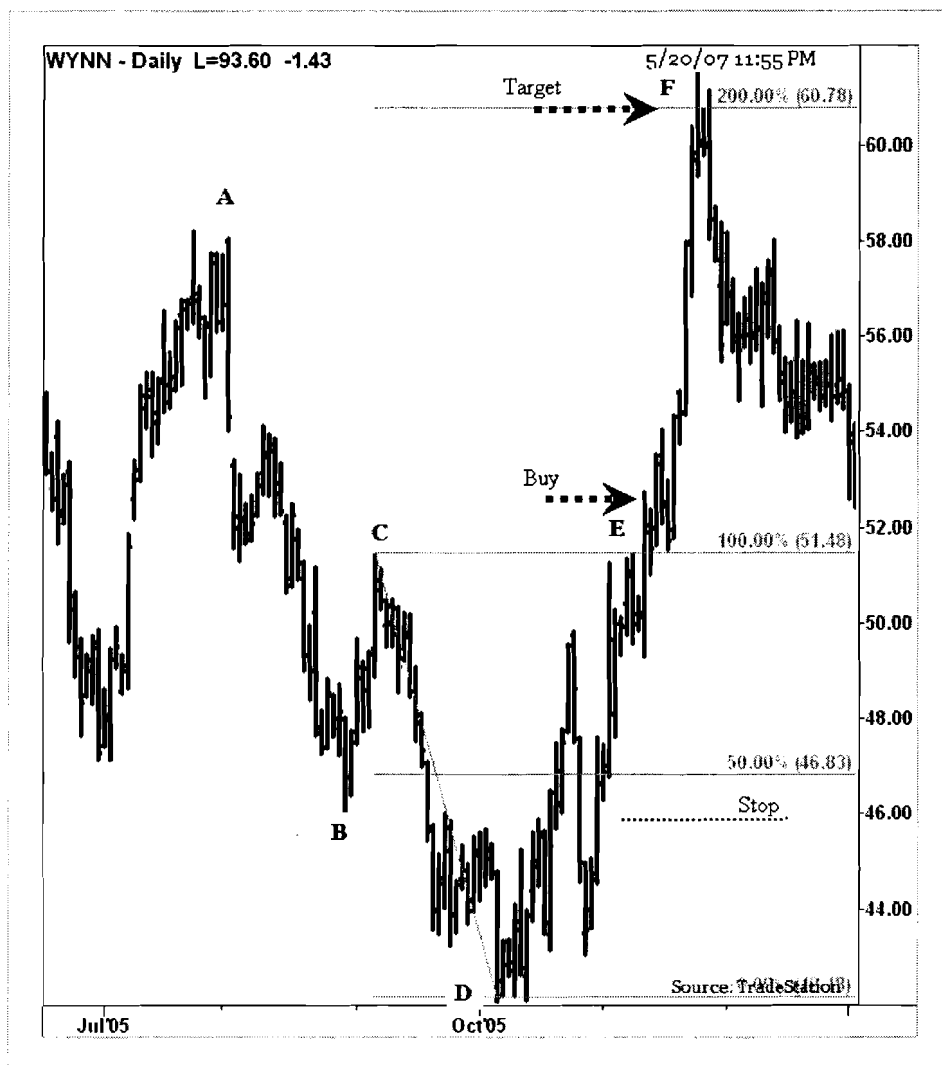
Trade: The “Sea Horse” pattern trade occurs after its price reverses, and trades above the retracement level. Wait for the prices to close above the retracement level at C, and enter a “long” trade above the high of the breakout bar.

Stop: Place a “stop” order below the “swing low” prior to the retracement level.

Target: Place a “target” (at F) 100% of the range from the retracement level to the swing low.



Trading Sea Horse Pattern

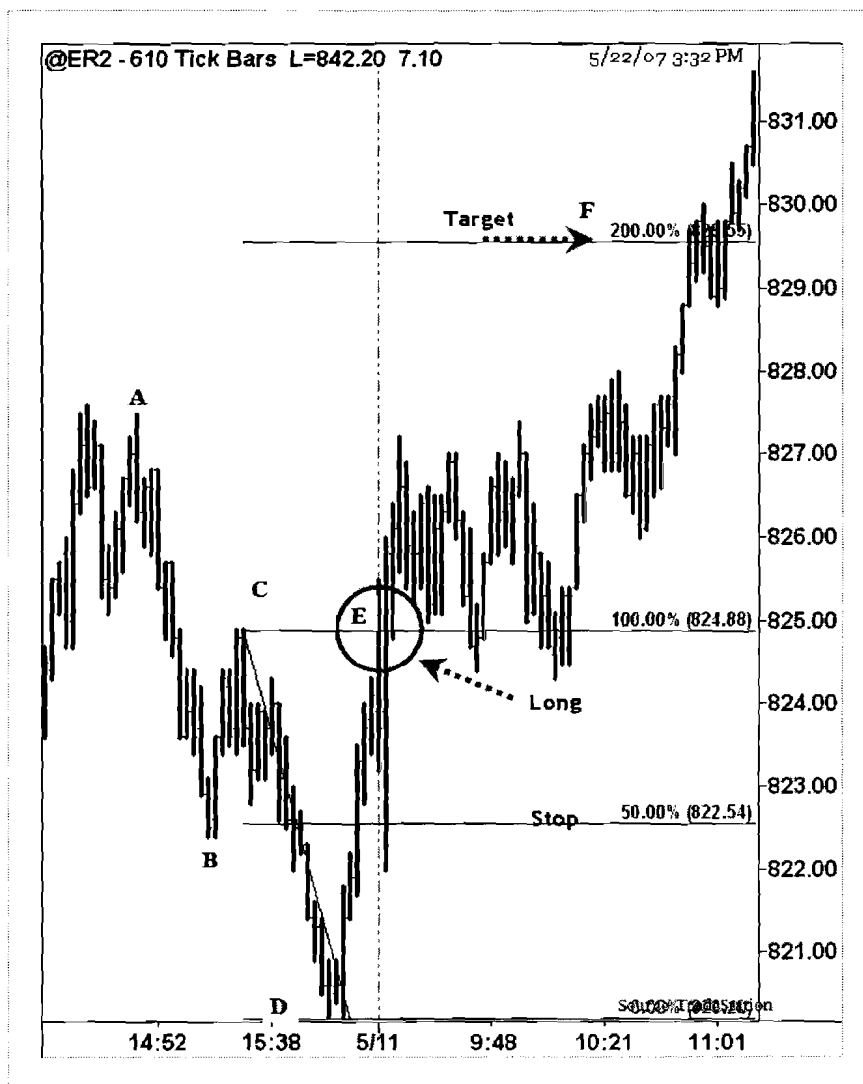


Trading Sea Horse Pattern

The example above shows a "Sea Horse" pattern from the Wynn resorts (WYNN) daily chart. WYNN traded from a high of \$58 to \$46 and formed the first phase of the "Sea Horse" pattern. Then it retraced to \$52 before declining to \$42 to complete the pattern. In November 2005, WYNN traded above the "Sea Horse" retracement level at C (at \$51.50) to give a long trading opportunity.

1. Enter a "long" trade above the C level (at \$52).
2. Place a "stop" order below the low of the retracement at B level (\$46).
3. Place a "target" at 100% of range (from C to D) at E level to \$60.75.

Trading Sea Horse Pattern



Trading Sea Horse Pattern

The example above shows a "Sea Horse" pattern from the Russell Emini (ER2) 610 tick chart. On May 10, 2007, ER2 formed a "Sea Horse" pattern, and traded from 827 to 820. Later that day, ER2 reversed its downtrend and closed above the retracement C level (at 825). The BC range was 50% of AB swing.

1. Enter a "long" trade above the high of the bar at E level (at 825.5).
2. Place a "stop" order below the low of B level (at 822).
3. Place a "target" at 100% of the range (from C to D) 4.5 points from E level to 829.

12.3. Scallops Pattern

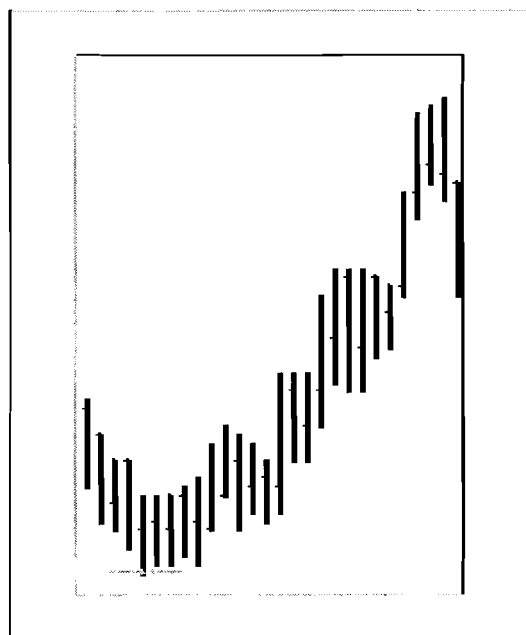
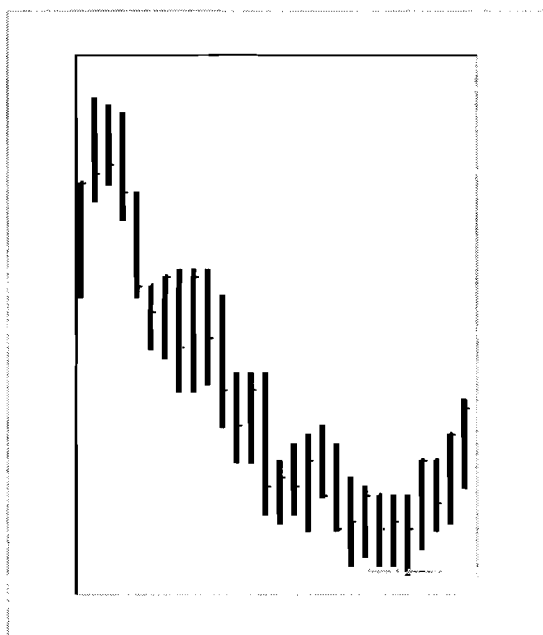
Scallops Pattern

“Scallops” are J-shaped patterns that form in ascending and descending markets. In ascending “Scallop” (Bullish) formations, the pattern resembles a “J” letter and has a rounded bottom with a steep ascent. In descending “Scallop” (Bearish) formations, the pattern looks like a “Mirror Image of J.” Usually the volume between the top peak and the bottom “J” peak resembles a “U” shape formation. In ascending and descending “Scallop” formations, the higher “Scallop” size or lower “Scallop” size becomes smaller as they progress. “Scallop” patterns are relatively easy patterns to trade and have a moderate success rate compared to the “flags” or other continuation patterns.

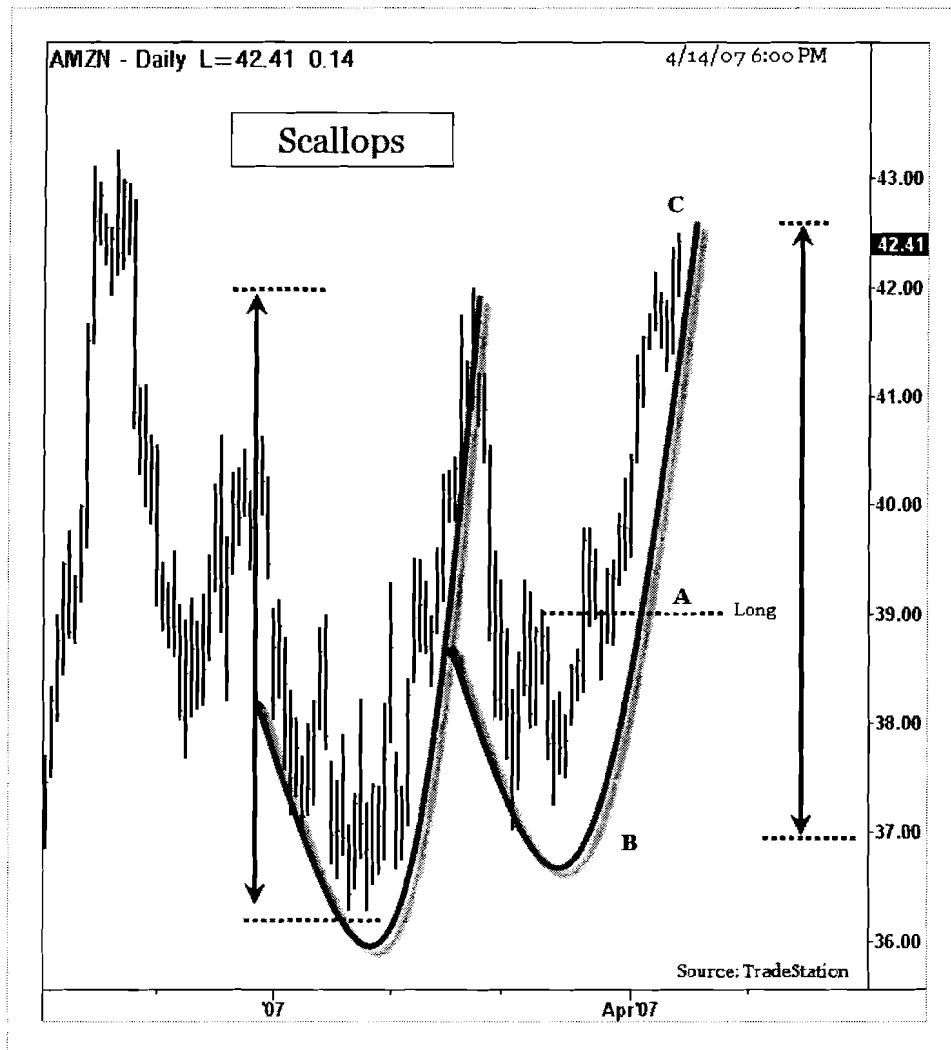
Trade: Descending Scallop patterns are visible once the bottom part is made and the price starts to rise. Also, descending “Scallops” are potential short trades once prices trade below the low of the “curved bottom.” In ascending “Scallops,” after the first “J” Scallop formation, a retracement is needed for another “J” Scallop. Depending on the market strengths, the retracement is from 38% to 62%, and hence the failure rate in ascending patterns is relatively higher than descending “Scallops.”

Stop: In descending “Scallops,” the trade is initiated below the low of the pattern. If the prices rise back above the right side of the “J” peak, then the pattern is considered as a failure. In ascending patterns, a “stop” is placed below the low of the “J” pattern.

Target: Targets are usually at the height of the “J” pattern from trade entry. For ascending patterns, the height of the “J” shape is added to the entry. In descending patterns, the height of the “J” shape is subtracted from the entry.



Trading Scallops (Ascending) Pattern

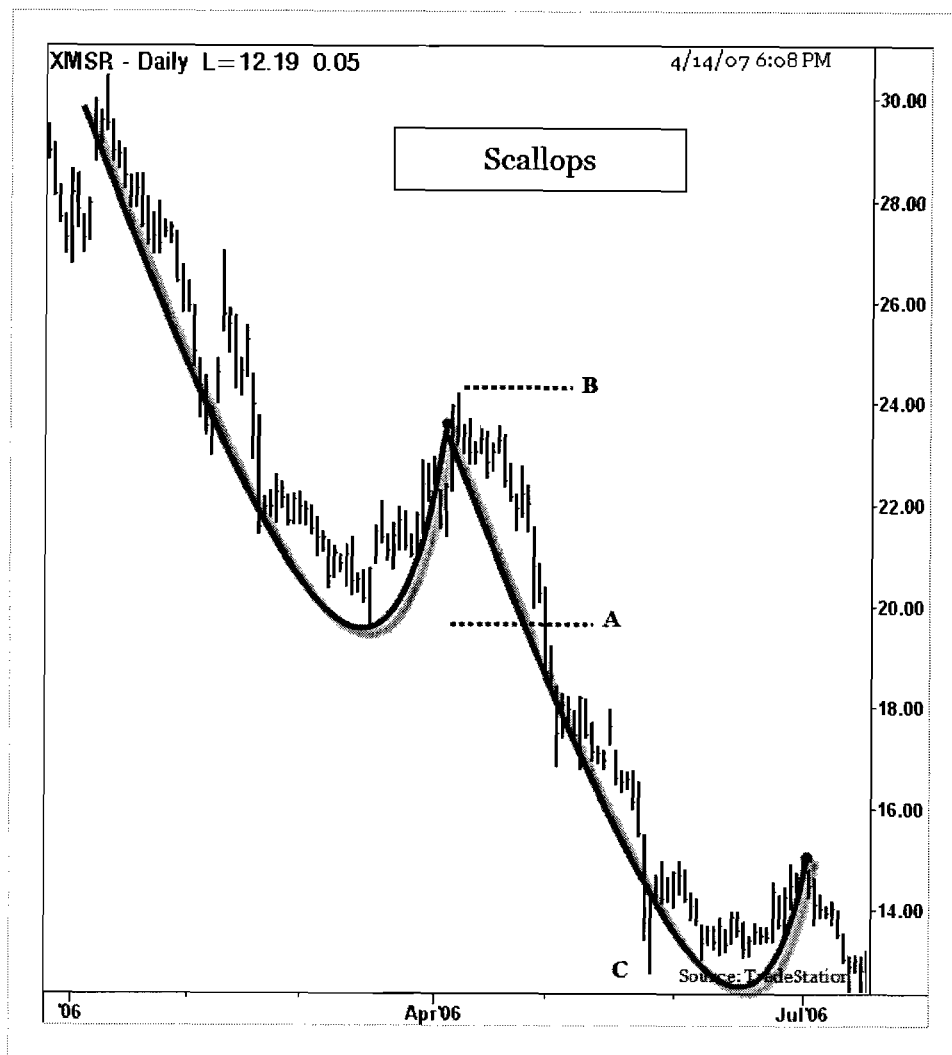


Trading Ascending Scallops Pattern

The example above illustrates an “Ascending Scallop” pattern from Amazon’s daily chart. Amazon formed its first ascending “Scallop” from \$36 to \$42. A retracement is needed for this pattern to trade another upside “Scallop” pattern. After a steep decline, Amazon formed a round bottom at \$37 to \$39. Once the pattern started to breakout of the round bottom, it gave an opportunity to enter a “long” trade.

1. Enter a “long” trade above the right side hump at level A (\$39).
2. Place a “stop” order below the low of the second “Scallop” bottom (\$37).
3. Targets are placed at the height of the first “Scallop” from level B (\$42).

Trading Scallops (Descending) Pattern



Trading Descending Scallop Pattern

The example above illustrates a “Descending Scallop” pattern formation from the XM Satellite (XMSR) daily chart. XMSR formed its first descending “Scallop” in March 2006 as it declined from the peak of \$30.50 to a low of \$20. In April 2006, XMSR retraced above \$24 and started to decline to form another descending “Scallop.” The first “Scallop” height was \$10 and the low was at \$20.

1. Enter a “short” trade below the low of the Scallop at \$20 (level A).
2. Place a “stop” order above the high of the “Inverse J” at \$24 (level B).
3. Place a “target” at the height of the “J” shape from level B to \$14 (level C).

Chapter 13: Event Patterns

13.1. Gaps

Gaps

Gaps are formed when a price imbalance occurs in its buy and sell orders. Most gaps are usually driven by news or economic reports, earnings reports or up/downgrades. The daily gaps are defined in stocks when the day's opening price (begins at 9:30 am EST) is either higher or lower than the prior day's closing price at 4pm EST. Most stocks and index futures gap about 20% to 25% of the time during the year.

Although "Gap" trading is very profitable, trading gaps is relatively difficult for many traders. Many traders avoid gap trading as "Gaps" are usually manipulated by professional portfolio traders and large institutional traders. However, experienced traders employ some successful strategies to trade gaps by a popular method of fading them. Traders watch pivots, support and resistance areas within the gaps and fade them.

Additionally, "Gaps" form during intra-day trading (on time-based charts) and may offer some potential clues to price-action. During intra-day trading, gaps formed in higher time frame charts such as 30 minute or 60 minute offer excellent trading opportunities.

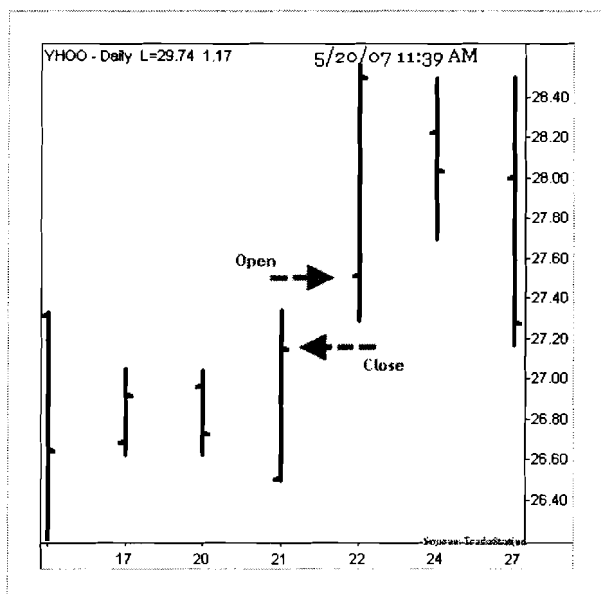
Gaps are primarily grouped as: Common, Breakaway, Continuation and Exhaustion. Each has its own way to trade, but the most profitable and relatively low-risk "Gaps" are Breakaway and Exhaustion gaps. Exhaustion gaps present very attractive gains and Breakaway gaps offer low-risk setups. Breakaway gaps are also excellent in finding the breakout candidates for long-term.

Here are some basic rules to remember when trading Gaps.

1. Trading "Gaps" is an art and is a specialty by itself.
2. Gap trading methods offer reasonable success, but it does present more risk than other trading methods. However, gap setups such as breakaway, exhaustion and island reversals offer excellent rewards for the risk involved.
3. Stocks which involve gap trading must have a consistent trading range. For example, a stock priced at \$20 must have at least a \$0.50 average trading range (ATR), and a stock priced at \$50 must have at least a \$1 average trading range. Furthermore, a stock price of \$100 must have at least \$2 average trading range.
4. To consider an upside breakaway gap, the stock must be closing lower at least two or three days prior to the gap formation.
5. Gaps below the markets act as support and above the markets act as resistance.
6. In most cases, index futures' opening gaps tend to fill during the same trading day.
7. Common gap trading should be avoided by most traders.
8. During Gap trading, protect your trades using trail stops.
9. A valid breakaway gap almost never gets filled. Hence, all "Gaps" get filled is only partially true.
10. If a daily stock gap is 2.5 times the 10-day ATR, ignore the trade until at least the following day.

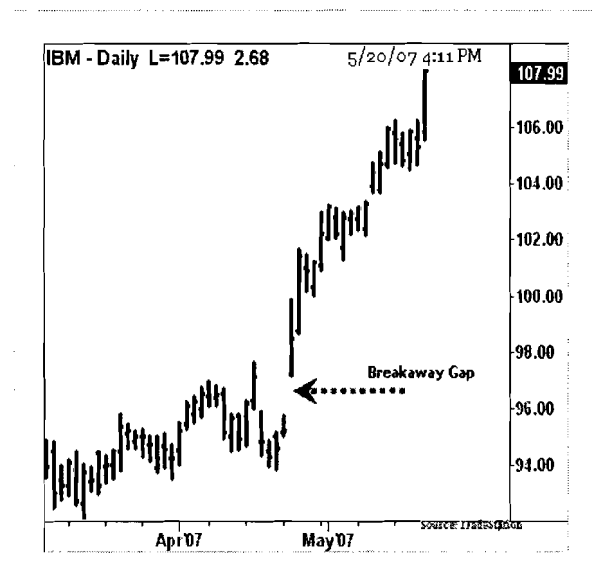
Gap Types

Common Gap



Common gaps form more often in quiet and trend less markets with a small increase in volume. Common Gaps occur more often than other Gap forms. These Gaps should be avoided by most traders if the gap range is very small. Some experienced traders may trade common Gaps with quick entry and exit rules. Trading against (fading) the common gap is the only way to profit from common gap patterns. These trades should be quick as an entry of “short” may be placed for an upside gap, as the prices reach new highs. Place a stop above the new high, and place targets at the lower-end of the gap range. For a downside gap, wait for prices making new lows and enter a “long” trade. Place a “stop” below the recent low, and place a target near the high of the gap range.

Breakaway Gap



Breakaway gaps are most reliable and are easy to visually detect. Breakaway gaps occur when prices rise out of a congestion zones or long base trading areas. They usually have heavy volume on the breakout. These gaps do not close quickly as they initiate a trend from congestion zone and stay in the trend for a long time before a reversal occurs. From the congestion zone breakout, prices make higher highs for a few bars, usually with gaps in between them, and for breakdowns prices they make lower-lows for a few bars. Breakaway Gaps present an excellent trading opportunity. Enter at the beginning of the trend in a breakaway gap and place a “stop” order below the low of the bar prior to the gap. Targets usually set a previous major swing high. Close the trade after 3 to 4 days of upside movement.

Gap Types

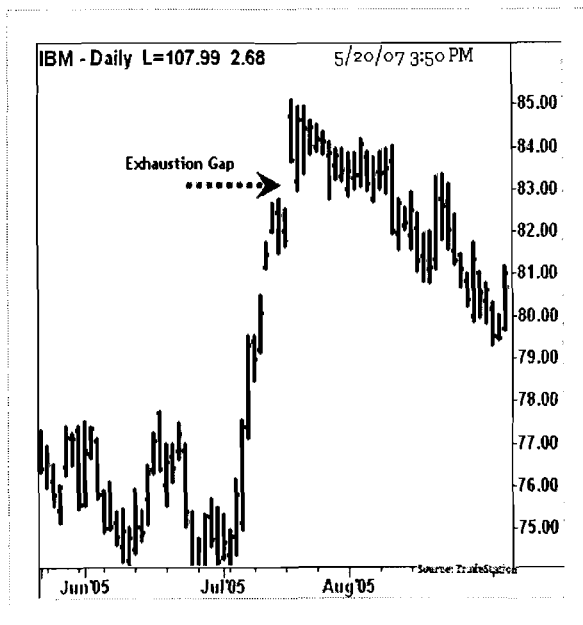
Continuation Gap

Most daily gaps tend to fill during the following few weeks. In the case of Continuation gaps, prices make new highs, or new lows, without filling the gap for extended periods of time. Continuation Gaps are signaling a continuation of an existing trend. The Breakaway gap forms at the start of a trend, while a Continuation gap forms in the middle of trend. Moreover, the volume during the Continuous gaps is heavy. Prices should make new highs or new lows immediately after the gap to “continue” the prior trend. Trading Continuous gaps could be relatively easy as the trend direction is clearly established prior to the gap



Exhaustion Gap

An Exhaustion gap occurs near the end of the trend and is not followed by new highs or new lows after the gap bar. Exhaustion gaps are great trading opportunities for reversal signals, as markets tend to fall or rise violently after the gap formation. These gaps can be easily detected as the prices reverse quickly after a gap and prices attempt to close below the gap. After an Exhaustion gap, enter a “short” trade below the low of the gap bar, and place a “stop” above the swing high of the pattern. Exhaustion gaps result in extensive sell-offs from the prior uptrend. Place targets near the swing lows prior to the Exhaustion gap trend rally.



Trading Exhaustion Gap

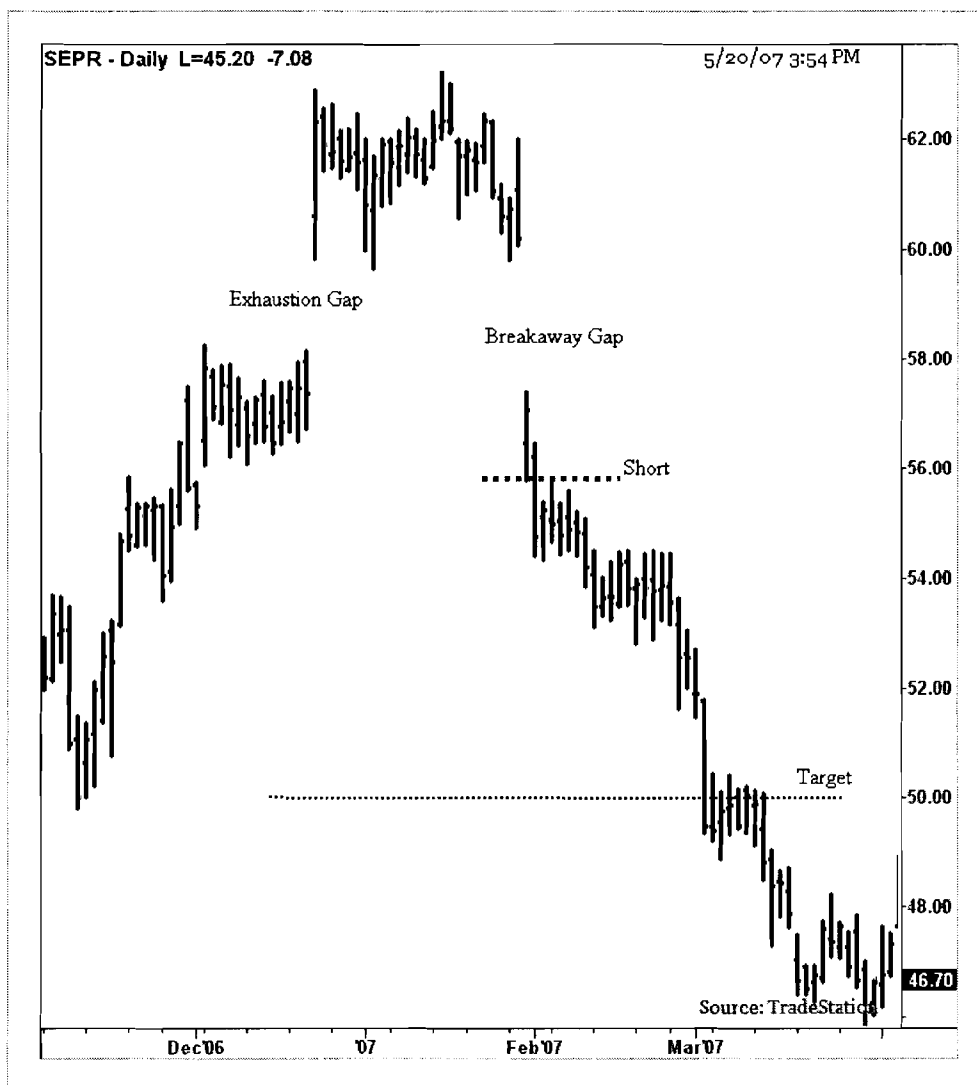


Trading Exhaustion Gap

The example above illustrates an “Exhaustion gap” setup from the Google’s (GOOG) daily chart. A series of other Gaps are also shown in the example above. From April to May 2006, GOOG expanded making higher highs and traded from \$340 to \$450. In the middle of April 2006, GOOG released its earnings. Subsequently, GOOG gapped (exhaustion) open from \$415 to \$435 and traded as high as \$450. After a few days from the earnings report release, GOOG failed to continue its higher closes and traded below the low of the gap bar at \$435 to confirm an Exhaustion gap setup.

1. Enter a “short” trade below the low of the gap bar at \$435.
2. Place a “stop” order above the high of the gap bar \$451.
3. Enter a target near the previous “swing low” prior to the exhaustion gap at \$400.

Trading Breakaway Gap



Trading Breakaway Gap

The example above illustrates a Breakaway gap setup from the Sepracor's (SEPR) daily chart. Breakaway gaps develop from consolidation zones and are not filled for a long time. SEPR traded in a consolidation zone after an extended rally from December to January, 2006. In late January 2006, a Breakaway gap was created as SEPR expanded its trading range to downside from \$60 to \$57.75.

1. Enter a "short" trade below the low of the gap bar at \$56.
2. Place a "stop" order above the high of the gap range at \$60.
3. Place a target near the major swing low prior to the rally at \$50.

13.2. Dead Cat Bounce

Dead Cat Bounce

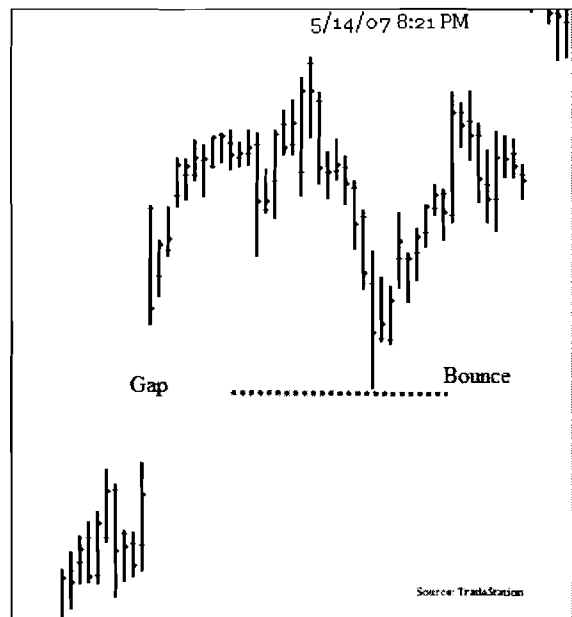
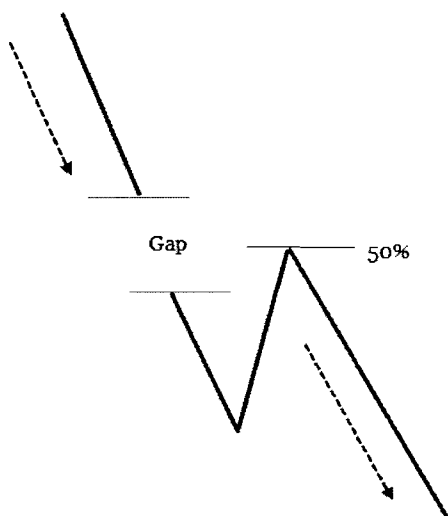
The “Dead Cat Bounce” pattern is an event driven pattern that occurs due to some sudden, major event or news related events such as a corporate earnings report, merger, takeover, partnership, resignations/appointment and scandal; Federal Drug Administration (FDA) approval and Securities Exchange Commission (SEC) inquiries in a company. From the regular trading price pattern, price usually drops or rises at least 15% or more to indicate the seriousness and reaction to the event. As this condition emerges, traders enter a trade in the opposite direction of the event and trade a rise or drop about half of the event price change at some leisurely rate. This makes it a “Dead Cat Bounce Pattern”. Once the news settles, the price reverses the bounce and trades in the original event driven direction. This pattern has bull and bearish setups. This pattern also has high failure rate as some of these gaps are never retraced or filled for very long time.

Trade: It may be easy to trade the pattern once the “Dead Cat Bounce” occurs rather than chasing the event driven price-action. The rise/drop must be at least 15% of price. Most bounces are about 50% to 62% of the drop against the event-day direction. For an event driven price-fall, enter a short trade at 50% to 62% gap level. Short below the previous bar’s low. For an event-driven price-rise, enter a long trade at 50% to 62% gap level. Enter a long above the previous bar’s high.

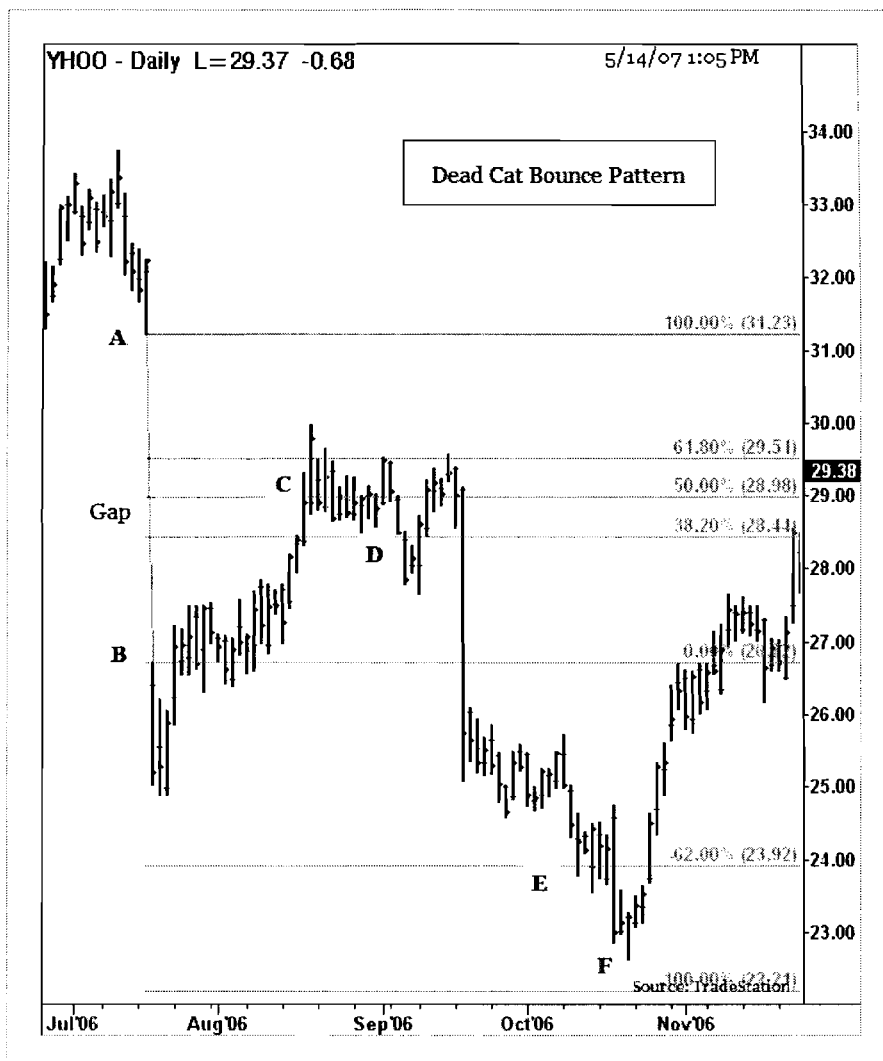
Stop:

Place a stop loss order at the event-days’ gap levels. For a short trade, place a stop at the high of the event-day’s gap down bar. For a long trade, place a stop below the low of the event day’s gap up bar.

Target: The target is placed about 100% of the gap range from the trade entry.



Trading Dead Cat Bounce Pattern

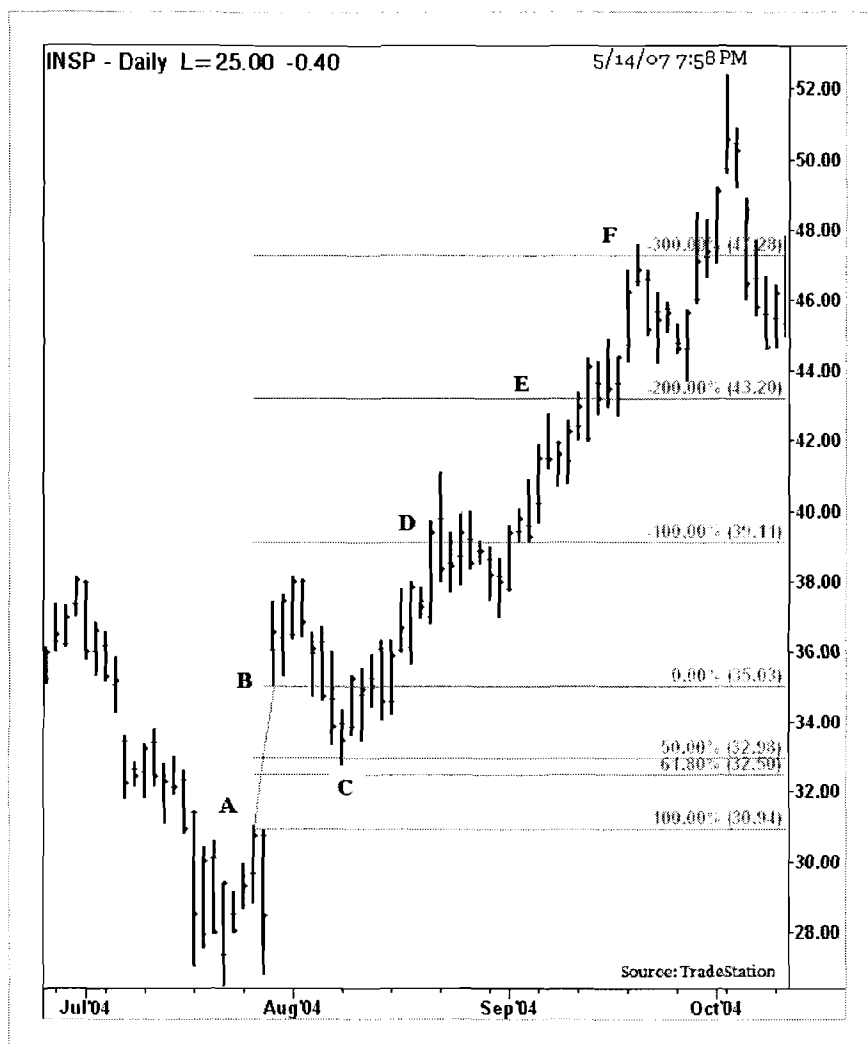


Trading Dead Cat Bounce Pattern

The example above shows a Dead Cat Bounce pattern from the Yahoo's daily chart. Yahoo announced its earnings in late July 2006 and as a result its stock dropped from \$31 to \$25. From mid July to August 2006, Yahoo attempted to close the gap as it bounced back from \$25 to \$30. The gap range generated by Yahoo's news was \$4. In September 2006, Yahoo gave an opportunity to "short" at 50% level (at \$29).

1. Enter a "short" trade below the previous bar's low at 50% level of gap (at D:\$28.50).
2. Place a "stop" order above the top of the gap at A (at \$31.25).
3. Place a "target" at 100% of the gap range from the trade entry (at \$24).

Trading Dead Cat Bounce Pattern



Trading Dead Cat Bounce (Upside) Pattern

The example above illustrates an upside Dead Cat Bounce pattern from the Infospace's (INSP) daily chart. During August 2004, Infospace gap opened from \$30 to \$35. After a few sessions, Infospace retraced its rally into the gap. The gap range was \$5. Infospace retraced about 50% of its gap range and presented a "long" trade opportunity.

1. Enter a "long" trade above the high of the previous bar at C (at \$34).
2. Place a "stop" order at the lower gap (at \$31).
3. Place a "target" at 100% of gap range from the entry level to D (at \$39).

13.3. Island Reversal Pattern

Island Reversal Pattern

Island Reversals are part of price gap structures, and form when prices are isolated by gaps on both sides of the price rally or price decline. In an extended rally, price rallies above the prior sessions close and form an upside gap. After few sessions, a downside gap is formed to close below the prior sessions close. This isolation of price-range forms an Island Reversal setup, which usually signals much larger technical declines in bullish trends, or rallies in bearish trends.

Most Island reversals are usually news driven events. Volume should be at higher levels on both sides of the gaps. It is very rare to see an Island Reversal pattern in the middle of a rally as they reverse the prior trends after the second gap.

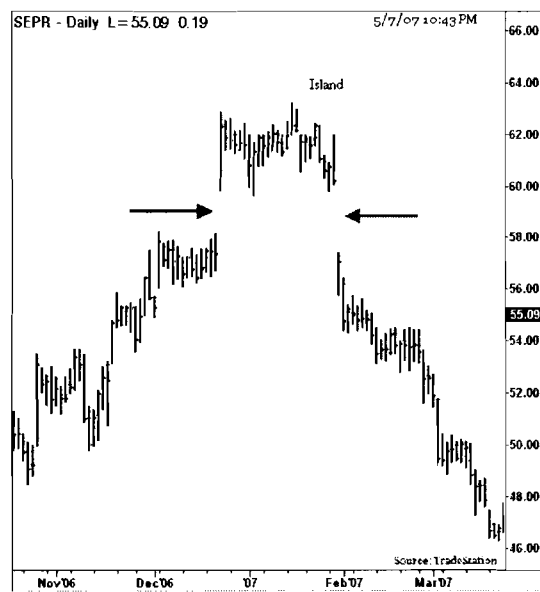
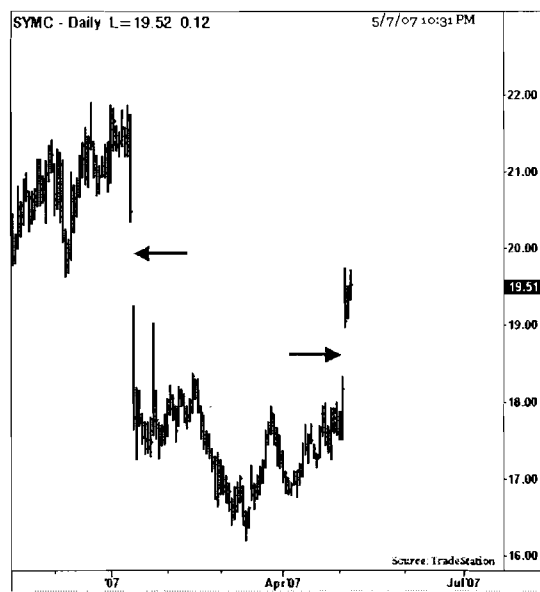
Trade:

After a reversal, enter a “short” trade (for uptrend) below the low of the second down gap. Or, enter a “long” trade (in a down trend) above the high of the second gap up.

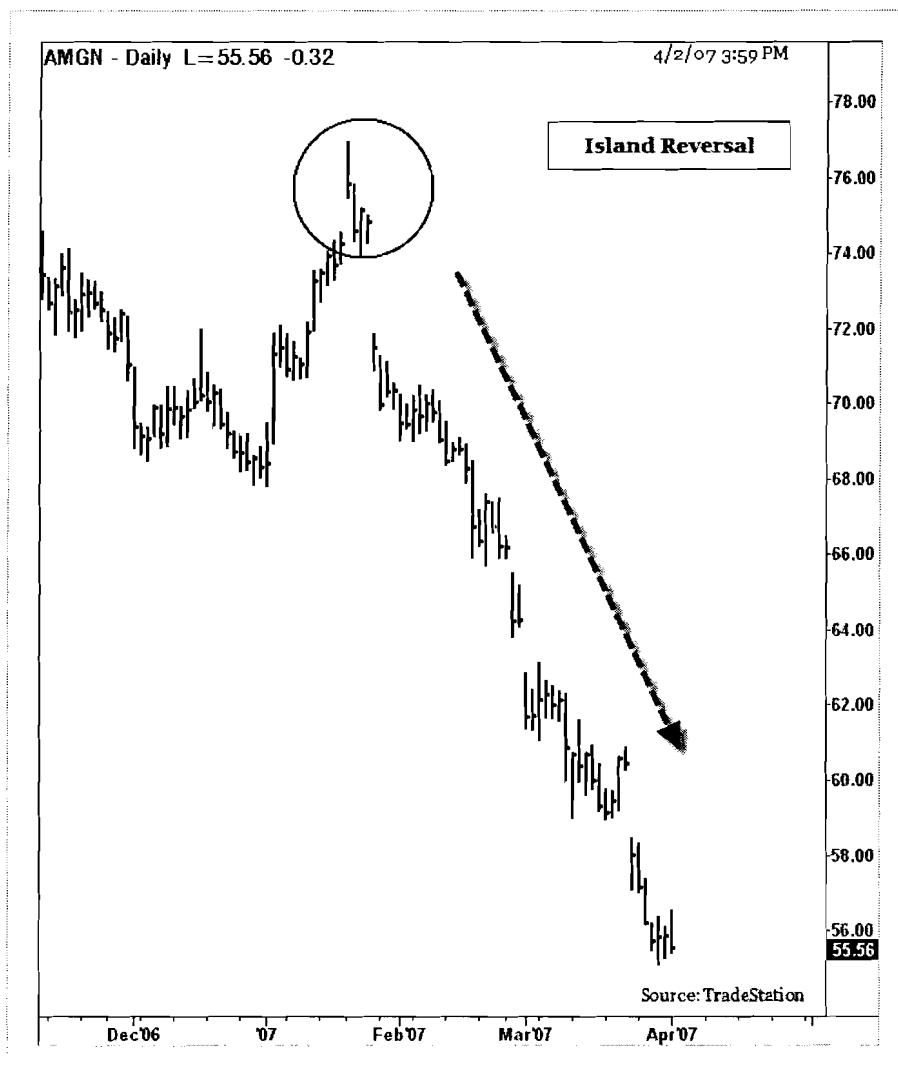
Stop:

Place a “stop” order if the market closes above the high of the “Island Reversal” pattern for shorts, or if it closes below the low of the Island Reversal pattern for longs.

Target: Island Reversals usually are very profitable as they signal a weakness in the current trend. Targets are placed near key event driven support or resistance levels.



Trading Island Reversal

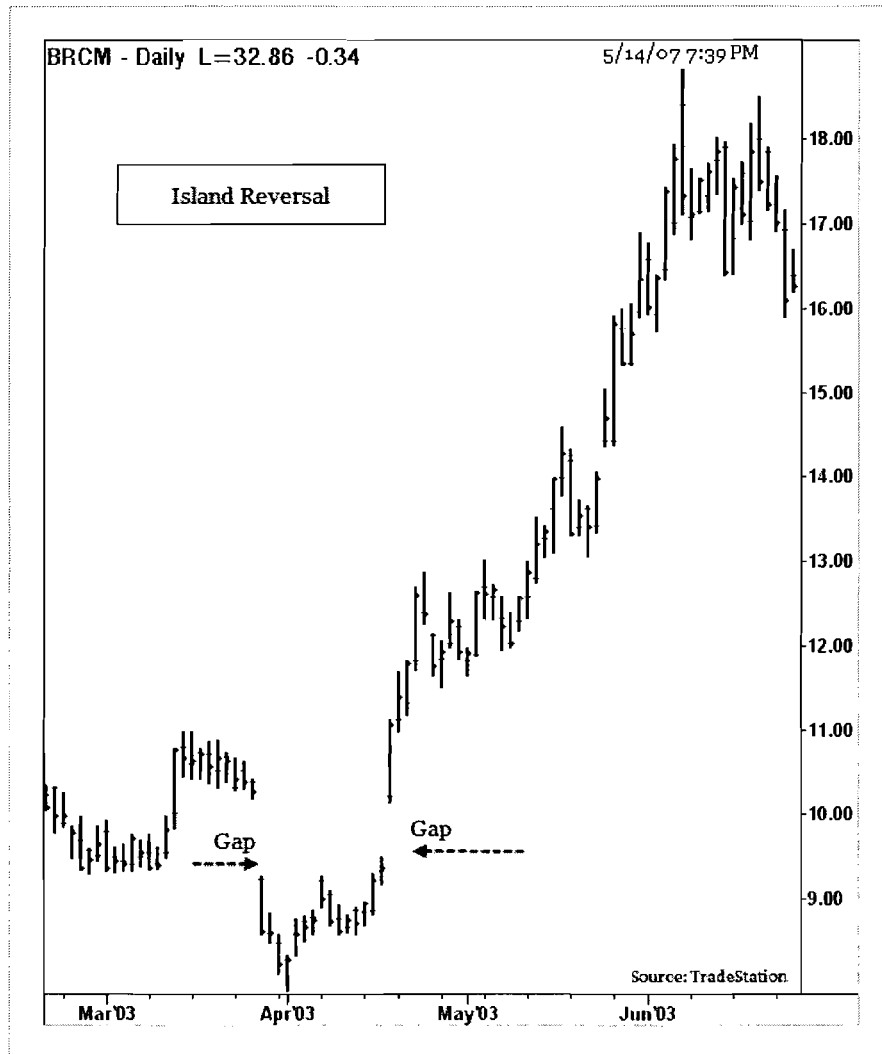


Trading Island Reversal Pattern

The chart above illustrates an Island Reversal pattern from Amgen's (AMGN) daily chart. During 2006, AMGN rallied to \$76 and reversed to \$56 by April of 2007. Late January 2007, AMGN showed its first upside gap and closed at \$76. Within the next few sessions, AMGN closed the first gap and formed a downside gap to complete an "Island Reversal Pattern."

1. Enter a "short" trade one tick below the low of the second gap bar.
2. Place a "stop" order above the high of the bar prior to the gap.
3. Target a major "swing low" prior to the rally.

Trading Island Reversal



Trading Island Reversal

The example above illustrates an Island Reversal pattern in Broadcom (BRCM) daily chart. In March 2003, BRCM gapped down at \$10 price level and traded for few bars lower. Late April 2003, BRCM reversed its downtrend and traded higher with gap closing above the previous downside gap. This scenario created an “Island Reversal” pattern and provided a “long” trade opportunity.

1. Enter a “long” trade above the Gap bar’s high at \$11.
2. Place a “stop” below the low of the Gap at \$9.75
3. Place a “target” near a major “swing high” prior to the downside gap.

APPENDIX

Definitions

Breakdown: Current price surpassing a series of support prices and trading below it

Breakout: Current Price overcoming a series of resistance prices and trading above it

Congestion: Market in short-term and choppy price-range

Divergence: When two or more averages or indices fail to show confirming trends.

Drawdown: The reduction in account equity as a result of a trade or series of trades.

Entry: A new trade (Could be “Buy” or “Sell”)

Exit: Closing the trade (Could be “Sell” or “Buy to Cover”)

Extension: Price levels surpassing a previous Swing in the same direction as prior swing

Fib. : Abbreviation for Fibonacci

Fibonacci Ratio: the ratio between any two successive numbers in the Fibonacci sequence, known as phi (ϕ).

Fractals: Depiction of mathematical models that may be applied to identify data patterns.

Gap: Current Price Opening away (Up or Down) from the previous bar’s Close.

Impulse Wave: A wave or cycle of waves that carries the current trend further in the same direction.

Long: A Buy entry

Minute Chart: The time period for the chart is [n] minutes.

Neckline: A trendline drawn along the support or resistance points of various reversal and consolidation pattern (i.e., head and shoulder, double and triple top/bottom formations).

Opening Range: The range of prices that occur during the first five minutes to first hour of trading, depending on the preference of the individual analyst.

Overbought: Market prices that have risen too steeply and too fast.

Oversold: Market prices that have declined too steeply and too fast.

Pivot: A key price level where prices change or reverse its prior direction

Range: The distance between two price points (usually High and Low)

Resistance: Prices where selling pressure accumulates

Retracement: Price reversing from an upside advance or a downside decline (within a swing).

Short: A Sell entry

Spike: A sharp rise in price in a single day or two; may be as great as 15-30%, indicating the time for an immediate sale.

Stop Loss: The risk management technique in which the trade is liquidated to halt any further decline in value.

Support: Prices where buying pressure accumulates

Swing: The distance between two key pivot points (continuous)

Target: A profit price level from a trade entry.

Tick: The minimum price movement in a stock or contract.

Trendline: A line drawn that connects either a series of highs or lows in a trend.

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Suri Duddella is a successful, private trader for the past 12 years using his proprietary mathematical models and analysis. Prior to joining the financial markets, Suri was an engineering consultant for Fortune 100 companies.

Suri Duddella was a founder of a financial research and analysis company from 1998 to 2005 specializing in financial modeling, research/analysis, and technology architecture for financial institutions, investment research and investment media companies. Suri's research company was ranked the "Best of the web" by Forbes magazine from 2000 to 2003 and featured in Barrons' as an "Excellent Technical Analysis site" in 2002.

Suri Duddella's research has been reviewed and featured in Forbes, Barrons', ActiveTrader, Stocks and Commodities, and Washington Business Journal magazines and newspapers. Suri has also appeared on various television and radio shows. In addition, he presented his research at various investment conferences in the United States. Suri has published market analysis articles for Active Trader, Stocks and Commodities, Chartpoint, and Traders World magazines. Suri Duddella's trading methodology and interview was published in "Bulls, Bears and Brains of Financial Internet," John Wiley, 2002 by Adam Leitzes and Joshua Solan.

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